

China monthly data outlook

Production resilient, demand awaits fiscal execution

We expect some stabilization in June data after the April–May soft patch, but the recovery remains narrow and externally supported. PMIs improved modestly, exports remain helped by high-tech and AI-related demand, and lower oil prices eased cost pressure. Domestic demand weakened further: May retail sales fell 0.6%oya, FAI contracted 10.7%oya, infrastructure FAI dropped 9.4%oya, and real estate FAI declined 24.3%oya. The near-term question is whether fiscal execution can turn available funding into activity before external demand becomes less reliable. PMIs point to a floor in industrial momentum, not a new upswing. Production and orders improved, but employment, inventories, and export orders remain mixed, with little evidence of a broader restocking, hiring, or capex cycle. Lower input prices ease near-term margin pressure, but weak downstream demand still caps pricing power.

The recovery is still two-speed. Manufacturing competitiveness, trade rerouting, and the global IP/AI cycle continue to support exports and high-tech production. High-tech manufacturing rose 15.1%oya in May and contributed nearly 40% of industrial growth in January–May. But strength remains concentrated in electronics, high-tech manufacturing, and selected upstream sectors; consumer-related, housing-linked, and traditional industries remain weak.

External demand remains the main cushion, but there are risks. June exports may remain strong, supported by AI-related equipment, memory modules, new energy products, and trade rerouting. Yet tariffs, anti-subsidy cases, local-content rules, and carbon-related barriers could increasingly limit external absorption. If exports slow before domestic demand recovers, resilient production would translate into inventories, margin compression, and renewed producer-price weakness.

Domestic demand is the binding constraint. Trade-in subsidies appear to have pulled forward durable-goods purchases, while weak income expectations and confidence cap services upside. The latest activity mix points to an absorption problem: without faster fiscal spending and stronger household demand, resilient output risks feeding inventories and price discounting.

Fiscal execution is the key July watch. General budget spending contracted for a second month in May, infrastructure outlays fell 12.0%oya, and fiscal deposits rose to the second-highest May level in a decade. Slow fiscal deployment remains a drag. Special local government bond issuance has picked up, but the growth impact depends on whether proceeds quickly become project starts and physical work.

If June activity and 2Q GDP disappoint, the July Politburo meeting could bring stronger counter-cyclical considerations and targeted measures. The response would likely remain fiscal-led. Rate cuts may be used as a signal, but without faster fiscal execution and stronger credit demand, the growth impulse would be limited. The near-term outlook hinges on whether external demand and fiscal deployment can absorb resilient production. If trade frictions broaden or fiscal projects lag, output resilience could instead translate into inventories, margin compression, and softer output prices. Policy should now shift from supporting production to converting fiscal resources into real demand.

Emerging Markets Asia, Economic and Policy Research

Feng Zhu

(852) 2800 1745
feng.zhu@jpmorgan.com

Tingting Ge

(852) 2800-0143
tingting.ge@jpmorgan.com

Jiayi Li

(852) 2800-5229
jiayi.c.li@jpmorgan.com

Tongfang Yuan

(852) 2800-0085
tongfang.yuan@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch

See page 27 for analyst certification and important disclosures.

Table Of Contents

China monthly data outlook.....	1
Production resilient, demand awaits fiscal execution.....	1
Key economic statistics.....	3
China macro indicator heat map.....	4
China activity indicator heat map.....	5
Recent policy measures (June).....	6
Summary of major economic indicators and forecasts.....	7
Real GDP (2Q).....	8
Industrial production (Jun).....	8
Manufacturing PMI (Jun).....	9
Merchandise trade (Jun).....	9
Retail sales (Jun).....	10
Auto production and sales (Jun).....	10
Fixed investment (Jun).....	11
Industrial profits (Jun).....	12
Labor market & consumer confidence (Jun).....	12
Consumer prices (Jun).....	13
Producer prices (Jun).....	13
House prices (June).....	14
Housing activities (June).....	14
Money aggregates (June).....	15
Aggregate financing (June).....	15
Interest rates.....	16
Open market operations.....	16
Fiscal position (June).....	17
Monetary conditions (June).....	17
Currency exchange rate.....	18
FX reserves (June).....	18
Manufacturing and industrial activity tracking.....	19
Service sector activity tracking.....	21
Financial markets.....	23
External conditions and balance of payments.....	24
Labor market conditions.....	25
Recent publication highlights.....	26

Key economic statistics

	2025 Nominal GDP, US\$		Real GDP			Consumer prices		
	Total billion	per capita (US\$)	% year-on-year			% year-on-year		
			2024	2025	2026F	2024	2025	2026F
China	19550	13639	4.9	5.0	4.7	0.2	0.0	1.1
Hong Kong SAR	427	55873	2.6	3.5	3.0	1.7	1.4	2.0
Taiwan, China	921	39353	5.3	8.8	9.9	2.2	1.7	1.9
US	30762	89977	2.8	2.1	2.1	3.0	2.7	3.5
Euro Area	17873	51050	0.9	1.5	0.4	-20.5	2.1	2.7
Japan	4433	36018	5.2	1.1	0.7	2.7	3.2	2.1

	Current account balance			Government balance			Industrial production		
	% of GDP			% of GDP, end of period			% year-on-year		
	2024	2025F	2026F	2024	2025	2026F	2024	2025	2026F
China	2.3	3.8	3.6	-3.0	-4.0	-4.0	5.6	5.9	4.5
Hong Kong SAR	12.9	12.8	10.5	-1.8	0.1	0.6	0.8	2.0	2.0
Taiwan, China	14.1	15.1	13.6	-0.6	-1.0	-1.6	11.8	16.0	9.8
US	-4.1	-3.8	-2.9	-6.3	-5.8	-6.3	-3.6	0.8	1.1
Euro Area	2.7	1.7	2.2	-3.1	-2.7	-3.1	-3.0	1.7	-0.1
Japan	4.6	4.8	4.2	-6.1	-6.7	-6.8	-3.0	0.1	2.5

	2024	2025	2026F	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F
Real GDP, %ch over a year ago											
China	4.9	5.0	4.7	5.4	5.4	5.2	4.8	4.5	5.0	4.7	4.7
Hong Kong SAR	2.6	3.5	3.0	2.5	3.2	3.3	3.8	4.0	5.9	2.8	2.6
Taiwan, China	5.3	8.8	9.9	4.1	5.5	7.7	8.4	13.0	14.6	11.3	10.4
US	2.8	2.1	2.1	2.4	2.0	2.1	2.3	2.0	2.7	2.3	1.6
Euro Area	0.9	1.5	0.4	1.4	1.7	1.6	1.4	1.2	0.3	0.3	0.3
Japan	5.2	1.1	0.7	0.7	1.5	1.8	0.5	0.4	0.3	0.2	1.1
Real GDP, %ch over 1 quarter, saar											
China (JPMorgan estimate)	4.9	5.0	4.7	7.1	4.9	4.2	3.7	5.2	6.7	3.3	3.5
Hong Kong SAR	2.6	3.5	3.0	3.6	4.5	3.2	3.6	4.5	12.1	3.0	2.8
Taiwan, China	5.3	8.8	9.9	7.2	3.7	16.3	6.7	28.7	6.9	4.5	3.2
US	2.8	2.1	2.1	1.9	-0.6	3.8	4.4	0.5	2.1	2.2	1.5
Euro Area	0.9	1.5	0.4	1.5	2.6	0.5	1.0	0.7	-0.9	0.5	1.0
Japan	5.2	1.1	0.7	1.4	2.0	1.1	-2.3	0.7	1.8	0.8	1.0
Consumer prices, %oya, average											
China	0.2	0.0	1.1	0.2	-0.1	0.0	-0.2	0.6	0.8	1.2	1.3
Hong Kong SAR	1.7	1.4	2.0	1.4	1.6	1.8	1.1	1.3	1.6	2.0	2.0
Taiwan, China	2.2	1.7	1.9	2.0	2.2	1.6	1.5	1.3	1.2	2.0	2.1
US	3.0	2.7	3.5	2.7	2.7	2.5	2.9	2.7	2.7	3.9	3.6
Euro Area	-20.5	2.1	2.7	2.2	2.3	2.0	2.1	2.1	2.0	3.0	2.9
Japan	2.7	3.2	2.1	2.9	3.8	3.4	2.9	2.7	1.4	1.5	2.2
Official interest rates, % p.a., end-period											
China	7-day reverse repo	1.50	1.40	1.30	1.50	1.50	1.40	1.40	1.40	1.40	1.40
Hong Kong SAR	Disc. Window	4.75	4.00	4.00	4.75	4.75	4.75	4.50	4.00	4.00	4.00
Taiwan, China	Official disc.	2.000	2.000	2.000	2.000	2.000	2.000	2.000	2.000	2.000	2.000
US	Fed funds	4.5	3.8	3.8	4.50	4.50	4.50	4.25	3.75	3.75	3.75
Euro Area	Refi rate	3.0	2.0	2.5	3.00	2.50	2.00	2.00	2.00	2.25	2.50
Japan	O/N call rate	0.23	0.73	1.25	0.23	0.48	0.48	0.48	0.73	1.00	1.00
Exchange rates, end-period											
China	USD/CNY	7.30	6.99	6.70	7.30	7.26	7.16	7.12	6.99	6.89	6.79
Hong Kong SAR	USD/HKD	7.77	7.78	7.84	7.77	7.78	7.85	7.78	7.78	7.84	7.84
Taiwan, China	USD/TWD	32.80	31.39	31.90	32.80	33.25	29.23	30.48	31.39	32.00	31.70
Euro Area	EUR/USD	1.04	1.17	1.13	1.04	1.08	1.18	1.17	1.17	1.15	1.17
Japan	USD/JPY	156.9	156.9	164.0	156.9	149.5	144.3	147.9	156.9	159.1	160.0

Source: Private and public agencies and J.P. Morgan forecasts. Further details available upon request.

Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com

Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com

Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com

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China macro indicator heat map

		6/24	7/24	8/24	9/24	10/24	11/24	12/24	1/25	2/25	3/25	4/25	5/25	6/25	7/25	8/25	9/25	10/25	11/25	12/25	1/26	2/26	3/26	4/26	5/26
IP	%o/a	5.3	5.1	4.5	5.4	5.3	5.4	6.2	5.9	5.9	7.7	6.1	5.8	6.8	5.7	5.2	6.5	4.9	4.8	5.2	6.3	6.3	5.7	4.1	4.5
IP	%m/m sa	0.2	0.7	0.5	0.5	0.8	0.8	0.8	0.2	0.4	0.8	0.2	-0.1	0.9	-0.2	0.1	1.4	-0.4	0.6	1.1	1.2	0.4	0.2	-1.1	0.2
IP	%3m/3m saar	3.9	4.7	6.0	6.0	7.0	7.9	8.8	8.6	7.5	6.1	5.6	5.1	4.7	3.8	3.7	3.9	4.3	5.3	5.2	7.8	9.5	10.4	5.6	1.0
Retail sales	%o/a	2.0	2.7	2.1	3.2	4.8	3.0	3.7	4.0	4.0	5.9	5.1	6.4	4.8	3.7	3.4	3.0	2.9	1.3	0.9	2.8	2.8	1.7	0.2	-0.6
Retail sales	%m/m sa	0.2	0.6	0.4	0.4	0.6	0.2	0.6	0.0	0.3	0.7	0.2	0.6	-0.1	0.0	0.1	0.1	0.1	-0.2	0.0	0.3	0.0	-0.1	-0.2	-0.1
Retail sales	%3m/3m saar	3.3	3.7	4.1	5.3	5.7	5.6	5.4	4.4	3.9	3.4	4.0	5.0	4.6	3.7	1.7	1.1	0.8	0.7	0.2	-0.1	0.3	0.7	0.0	-1.0
FAI	%o/a, ytd	3.9	3.6	3.4	3.4	3.4	3.3	3.2	4.1	4.1	4.2	4.0	3.7	2.8	1.6	0.5	-0.5	-1.7	-2.6	-3.8	1.8	1.8	1.7	-1.6	-4.1
FAI	%o/a	3.6	1.9	2.2	3.4	3.4	2.4	2.2	4.1	4.1	4.3	3.6	2.9	0.5	-5.2	-6.3	-6.8	-11.2	-11.1	-16.0	1.8	1.8	1.6	-8.0	-10.7
FAI	%m/m sa	0.6	0.6	0.3	0.0	0.9	-0.7	0.8	0.1	-0.6	-0.5	-1.0	-0.2	-1.5	-2.2	-1.3	-1.1	-2.5	-1.1	-2.8	19.2	-1.7	-1.7	-10.5	-2.4
FAI	%3m/3m saar	2.0	3.2	5.0	5.3	5.2	3.3	3.5	2.1	2.3	-0.5	-3.6	-6.3	-8.4	-10.6	-14.5	-16.7	-17.8	-17.4	-19.2	4.7	32.7	72.6	18.0	-19.0
FAI: mfg	%o/a, ytd	9.5	9.3	9.1	9.2	9.3	9.3	9.2	9.0	9.0	9.1	8.8	8.5	7.5	6.2	5.1	4.0	2.7	1.9	0.6	3.1	3.1	4.1	1.2	-0.4
FAI: mfg	%o/a	9.3	8.3	8.0	9.7	10.0	9.3	8.3	9.0	9.0	9.2	8.2	7.8	5.1	-0.3	-1.3	-1.9	-6.7	-4.5	-10.6	3.1	3.1	4.9	-4.3	-4.2
FAI: infra	%o/a, ytd	5.4	4.9	4.4	4.1	4.3	4.2	4.4	5.6	5.6	5.8	5.8	5.6	4.6	3.2	2.0	1.1	-0.1	-1.1	-2.2	11.4	11.4	8.9	4.3	0.6
FAI: infra	%o/a	4.6	2.0	1.2	2.2	5.8	3.3	6.3	5.6	5.6	5.9	5.8	5.1	1.9	-5.2	-5.9	-4.8	-9.1	-10.0	-12.6	11.4	11.4	7.2	-4.5	-9.4
FAI: real estate	%o/a, ytd	-10.1	-10.2	-10.2	-10.1	-10.3	-10.4	-10.6	-9.8	-9.8	-9.9	-10.3	-10.7	-11.2	-12.0	-12.9	-13.9	-14.7	-15.9	-17.2	-11.1	-11.1	-11.2	-13.7	-16.2
FAI: real estate	%o/a	-10.1	-10.8	-10.2	-9.4	-12.4	-11.5	-13.5	-9.8	-9.8	-10.0	-11.3	-12.0	-12.9	-17.2	-19.4	-21.2	-23.1	-29.9	-36.5	-11.1	-11.1	-11.3	-20.1	-24.3
Home under construction	%o/a, ytd	-12.2	-12.5	-12.7	-12.6	-12.7	-12.9	-13.1	-13.0	-9.7	-9.7	-10.0	-10.1	-9.6	-9.5	-9.4	-9.6	-9.8	-9.8	-10.0	-10.4	-11.9	-11.9	-12.1	-12.5
Home under construction	%o/a	-83.5	-31.7	-31.1	-5.2	-22.6	-32.7	-34.5	8.0	-9.7	-9.7	-25.9	-22.5	275.3	0.1	-5.6	-25.8	-25.9	-10.3	-41.0	-48.0	-11.9	-11.9	-30.0	-45.9
Home sold (space)	%o/a, ytd	-24.4	-22.2	-21.2	-20.4	-19.2	-17.7	-16.0	-14.1	-3.7	-3.7	-2.4	-2.7	-3.2	-4.4	-4.8	-5.4	-6.3	-7.8	-8.9	-10.0	-16.0	-16.0	-13.4	-12.5
Home sold (space)	%o/a	-19.0	-14.3	-12.3	-12.6	-11.0	-0.5	4.2	4.5	-3.7	-3.7	-1.2	-3.5	-5.5	-8.1	-8.1	-10.0	-12.5	-20.8	-19.1	-18.9	-16.0	-16.0	-10.8	-9.6
New home starts	%o/a, ytd	-25.0	-23.6	-23.7	-23.0	-22.4	-22.7	-23.1	-22.6	-29.1	-29.1	-24.3	-22.6	-21.5	-19.7	-18.3	-18.4	-18.3	-19.3	-20.0	-19.9	-23.3	-23.3	-21.8	-23.6
New home starts	%o/a	-22.2	-18.3	-24.4	-17.0	-17.7	-25.7	-27.3	-15.8	-29.1	-29.1	-18.6	-17.9	-17.5	-13.2	-8.7	-19.0	-17.9	-29.9	-26.8	-18.8	-23.3	-23.3	-20.3	-28.2
New home completed	%o/a, ytd	-19.8	-21.7	-21.8	-23.2	-23.9	-23.4	-26.0	-25.8	-17.8	-17.8	-14.8	-16.9	-17.7	-15.5	-17.4	-18.5	-17.3	-19.0	-20.2	-20.3	-26.9	-26.9	-26.5	-25.8
New home completed	%o/a	-12.3	-30.6	-22.2	-33.9	-30.1	-19.5	-40.1	-25.4	-17.8	-17.8	-8.1	-26.0	-22.0	-4.3	-31.0	-28.4	-5.1	-31.1	-28.0	-20.6	-26.9	-26.9	-25.7	-22.5
Exports	%o/a	8.5	6.9	8.6	2.4	12.7	6.6	10.6	5.9	-3.1	12.0	7.9	4.6	5.6	7.0	4.2	8.2	-1.3	5.8	6.5	10.0	39.6	2.5	14.1	19.4
Exports	%m/m sa	1.0	-2.4	3.1	-2.3	5.6	-2.7	2.8	-0.3	-4.0	10.4	-3.5	-1.7	2.1	-2.1	1.3	1.1	-3.2	3.9	2.5	4.5	21.2	-18.8	6.7	3.1
Exports	%3m/3m saar	0.3	-4.2	2.5	-2.9	8.6	6.7	17.3	7.6	4.9	5.2	8.7	17.6	4.3	-1.2	-5.3	-0.5	0.7	1.5	5.4	23.1	73.6	72.3	58.9	-6.5
Imports	%o/a	-2.5	6.7	0.1	0.2	-2.3	-3.9	1.0	-16.3	1.5	-4.4	-0.3	-3.4	1.2	4.2	1.6	7.9	1.6	2.3	5.8	26.0	14.0	28.1	25.3	27.5
Imports	%m/m sa	-3.9	-0.4	0.8	-0.5	1.5	-1.5	2.4	-10.8	14.5	-5.8	3.4	-0.9	1.1	0.0	2.3	1.4	0.0	-3.5	5.0	7.6	3.3	4.4	2.4	2.9
Imports	%3m/3m saar	-7.6	-5.7	-13.0	-9.2	-2.8	1.3	4.8	-10.6	-4.1	-11.8	16.1	3.9	14.7	-0.1	9.6	9.9	15.1	7.0	4.0	11.9	41.4	68.9	70.7	57.8
CPI	%o/a	0.2	0.5	0.6	0.4	0.3	0.2	0.1	0.5	-0.7	-0.1	-0.1	-0.1	0.1	0.0	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2
CPI	%m/m sa	-0.1	0.1	0.3	-0.2	-0.2	-0.2	0.0	-0.1	-0.4	0.5	0.0	0.1	0.1	0.0	0.0	-0.1	0.3	0.3	0.1	-0.6	0.7	0.2	0.2	0.1
Core CPI	%o/a	0.6	0.4	0.3	0.1	0.2	0.3	0.4	0.6	-0.1	0.5	0.5	0.6	0.7	0.8	0.9	1.0	1.2	1.2	1.2	0.8	1.8	1.1	1.2	1.1
Core CPI	%m/m sa	0.0	0.0	0.0	0.0	0.0	0.1	0.1	0.1	-0.2	0.3	0.0	0.1	0.1	0.1	0.1	0.1	0.2	0.1	0.1	-0.3	0.8	-0.4	0.1	0.0
PPI	%o/a	-0.8	-0.8	-1.8	-2.8	-2.9	-2.5	-2.3	-2.3	-2.2	-2.5	-2.7	-3.3	-3.6	-3.6	-2.9	-2.3	-2.1	-2.2	-1.9	-1.4	-0.9	0.5	2.8	3.9
PPI	%m/m sa	0.1	-0.1	-0.6	-0.7	-0.3	0.0	-0.1	-0.2	-0.1	-0.4	-0.5	-0.3	-0.2	-0.1	0.1	0.0	-0.1	-0.1	0.1	0.3	0.4	1.0	1.7	0.8
TSF	%o/a	8.1	8.2	8.1	8.0	7.8	7.8	8.0	8.0	8.2	8.4	8.7	8.7	8.9	9.0	8.8	8.7	8.5	8.5	8.3	8.2	8.2	7.9	7.8	7.7
Bank loan	%o/a	8.8	8.7	8.5	8.1	8.0	7.7	7.6	7.5	7.3	7.4	7.2	7.1	7.1	6.9	6.8	6.6	6.5	6.4	6.4	6.1	6.0	5.7	5.6	5.5
M2	%o/a	6.2	6.3	6.3	6.8	7.5	7.1	7.3	7.0	7.0	7.0	8.0	7.9	8.3	8.8	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5	8.6	8.6
M1	%o/a	-1.7	-2.6	-3.0	-3.3	-2.3	-0.7	-1.4	0.4	0.1	1.6	1.5	2.3	4.6	5.6	6.0	7.2	6.2	4.9	3.8	4.9	5.9	5.1	5.0	5.5
Industrial Profits	%o/a, ytd	3.5	3.6	0.5	-3.5	-4.3	-4.7	-3.3	-0.3	-0.3	0.8	1.4	-1.1	-1.8	-1.7	0.9	3.2	1.9	0.1	0.6	15.2	15.2	15.5	18.2	18.8
Industrial sales Revenue	%o/a, ytd	2.9	2.9	2.4	2.1	1.9	1.8	2.1	2.8	2.8	3.4	3.2	2.7	2.5	2.3	2.3	2.4	1.8	1.6	1.1	5.3	5.3	5.0	5.2	5.5

Source: NBS, PBOC, China Customs, J.P. Morgan. Note: Green = acceleration, yellow = deceleration, red = contraction.

Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com

Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com

Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com

Asia Pacific Economic Research

07 July 2026

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China activity indicator heat map

%oya	6/24	7/24	8/24	9/24	10/24	11/24	12/24	1/25	2/25	3/25	4/25	5/25	6/25	7/25	8/25	9/25	10/25	11/25	12/25	1/26	2/26	3/26	4/26	5/26
Consumption																								
Passenger vehicle sales	-2.4	-5.1	-4.0	1.5	10.7	15.3	11.8	0.8	36.2	10.4	11.1	13.3	14.5	14.7	16.5	13.2	7.5	1.2	-8.7	-6.8	-15.4	-2.3	-4.2	-4.2
Passenger NEV sales	28.8	36.9	42.9	50.9	56.7	50.7	37.5	10.5	79.7	38.0	33.9	28.9	29.8	12.0	8.8	15.7	7.3	4.2	2.6	-20.0	-32.0	-14.1	-6.9	-7.5
Food	10.8	9.9	10.1	11.1	10.1	10.1	9.9	11.5	11.5	12.2	12.6	13.0	12.3	11.8	11.0	10.4	10.3	9.9	9.3	10.2	10.2	10.0	8.6	7.4
Garment/footwear	-1.9	-5.2	-1.6	-0.4	8.0	-4.5	-0.3	3.3	3.3	3.4	3.1	3.3	3.1	2.9	2.9	3.1	3.5	3.5	3.2	10.4	10.4	9.3	8.1	7.2
Cosmetics	-14.6	-6.1	-6.1	-4.5	40.1	-26.4	0.8	4.4	4.4	3.2	4.0	4.1	2.9	3.1	3.3	3.9	4.6	4.8	5.1	4.5	4.5	5.9	5.6	4.9
Jewelry	-3.7	-10.4	-12.0	-7.8	-2.7	-5.9	-1.0	5.4	5.4	6.9	10.4	12.3	11.3	11.0	11.7	11.5	14.0	13.5	12.8	13.0	13.0	12.6	5.4	2.8
Daily-use items	0.3	2.1	1.3	3.0	8.5	1.3	6.3	5.7	5.7	6.8	7.0	7.2	7.3	7.4	7.4	7.4	7.4	6.5	6.3	6.6	6.6	5.9	5.4	4.6
Household electronics	-7.6	-2.4	3.4	20.5	39.2	22.2	39.3	10.9	10.9	19.3	23.9	30.2	30.7	30.4	28.4	25.3	20.1	14.8	11.0	3.3	3.3	0.0	-4.0	-6.9
Online goods sales	-10.0	13.7	0.9	-0.3	0.3	0.2	2.3	5.0	5.0	5.7	5.8	6.3	6.0	6.3	6.4	6.5	6.3	5.7	5.2	10.3	10.3	7.5	5.7	5.0
Air passenger traffic	11.1	10.8	14.0	12.0	14.3	15.2	12.6	13.2	-1.5	3.5	8.9	7.9	3.8	3.9	3.3	4.6	5.8	6.6	6.4	-2.9	11.0	12.1	0.4	-7.1
Freight volume	2.8	1.4	1.7	2.3	3.9	4.2	8.7	4.8	4.8	5.0	4.3	1.8	2.9	3.4	3.6	4.8	0.4	3.3	0.4	-9.5	-9.5	0.4	2.2	2.2
No of delivered package	17.7	22.2	19.5	18.7	24.0	14.9	22.3	1.3	58.8	20.3	19.1	17.2	15.8	15.1	12.3	12.7	7.9	5.0	2.3	23.4	-10.9	3.5	3.2	5.7
Insurance premium	13.0	12.7	37.7	9.7	7.1	2.3	1.4	-3.3	4.3	6.1	9.6	13.2	12.9	19.7	35.6	-0.4	-5.0	-0.4	5.4	11.6	0.8	1.4	0.4	-1.5
Caixin services PMI	51.2	52.1	51.6	50.3	52.0	51.5	52.2	51.0	51.4	51.9	50.7	51.1	50.6	52.6	53.0	52.9	52.6	52.1	52.0	52.3	56.7	52.1	52.6	54.4
Industrial activities																								
Steel products production	3.2	-4.0	-6.5	-2.4	3.5	5.1	7.1	4.7	4.7	8.3	6.6	3.4	1.8	6.4	9.7	5.1	-0.9	-2.6	-3.8	-1.1	-1.1	-2.3	-1.7	-2.8
Cement production	-10.7	-12.4	-11.9	-10.3	-7.9	-10.7	-2.0	-5.7	-5.7	-1.4	-2.8	-4.0	-4.3	-4.5	-4.8	-5.2	-6.7	-6.9	-6.9	6.8	6.8	-7.1	-8.6	-8.6
Apparent oil demand	-8.1	-8.0	-5.9	-7.0	-5.4	-2.1	-2.2	0.7	0.6	-2.4	-5.5	-3.0	7.8	7.7	4.9	6.0	4.9	4.5	3.7	3.4	5.5	-0.3	-5.8	-10.6
Industrial robot	12.4	19.7	20.0	22.8	33.4	29.3	36.7	27.0	27.0	16.7	51.5	35.5	37.9	24.0	14.4	28.3	17.9	20.6	14.7	31.1	31.1	24.4	15.1	27.9
Commercial vehicle sales	-4.9	-6.6	-12.2	-23.5	-18.3	-13.9	1.2	-10.3	25.0	-2.4	2.7	-2.0	9.5	14.1	16.3	29.6	21.0	24.4	15.3	23.5	-14.0	8.9	8.1	12.5
Railway freight volume	7.5	4.2	5.4	3.4	4.3	6.4	5.0	-2.7	0.3	1.0	2.0	1.7	1.8	2.2	2.6	2.8	2.6	2.4	2.0	3.6	1.6	2.2	2.8	3.1
Excavator sales volume	5.3	8.6	11.8	10.8	15.1	17.9	16.0	1.1	52.8	18.5	17.6	2.1	13.3	25.2	12.8	25.4	7.8	13.9	19.2	49.5	-10.6	26.4	29.8	36.2
Total power generation	5.2	4.8	5.1	5.4	5.2	5.0	4.6	-1.3	-1.3	-0.3	0.1	0.3	0.8	1.3	1.5	1.6	2.3	2.4	2.2	4.1	4.1	3.4	3.3	3.6
Caixin manufacturing PMI	51.8	49.8	50.4	49.3	50.3	51.5	50.5	50.1	50.8	51.2	50.4	48.3	50.4	49.5	50.5	51.2	50.6	49.9	50.1	50.3	52.1	50.8	52.2	51.8
NBS manufacturing PMI	49.5	49.4	49.1	49.8	50.1	50.3	50.1	49.1	50.2	50.5	49.0	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0
Import by region																								
EU	-6.8	7.1	-5.3	-3.5	-6.1	-6.6	-4.9	-16.4	8.0	-7.5	-16.5	-0.0	0.4	-1.6	-1.8	9.4	4.0	1.6	17.7	27.5	-3.0	8.5	14.5	-1.3
US	-1.7	24.1	12.2	6.7	6.6	-11.2	2.6	-5.4	9.7	-9.5	-13.8	-18.1	-15.5	-18.9	-16.0	-16.1	-22.8	-19.1	-28.7	-27.3	-26.3	1.0	9.0	20.4
Japan	-10.6	-4.9	-1.3	-7.1	0.8	-2.5	6.3	-15.6	6.9	-3.1	2.5	-0.8	10.9	17.1	11.0	20.9	5.9	6.8	3.0	44.3	8.6	35.2	21.0	29.2
EM Asia	-1.7	14.2	8.1	5.7	3.3	1.2	10.8	-5.2	10.3	13.1	6.4	-1.3	1.0	-2.6	-2.8	4.5	-4.9	0.7	1.1	23.0	16.4	25.2	34.6	38.0
Brazil	-8.7	-4.4	1.9	-13.7	-19.9	-23.5	-32.5	-40.4	-24.9	-35.7	-17.2	10.0	7.0	10.5	-2.8	24.1	20.3	19.4	38.6	51.5	20.9	39.0	38.1	15.5
Australia	-10.1	-6.6	-19.3	-11.4	-9.6	-14.1	-14.2	-28.2	-28.4	-32.8	-3.3	-5.8	-9.7	-3.3	4.7	11.3	-0.9	3.8	3.8	28.9	41.6	87.6	31.5	20.5

Source: NBS, China customs, national sources. Note: Green = acceleration, yellow = deceleration, red = contraction.

Recent policy measures (June)

1-Jun	The State Council issued new regulations on outbound investment, effective July 1. The rules emphasize strengthening risk control, protecting investor rights, improving regulatory and service frameworks, and supporting participation in global industrial and supply chain cooperation.
2-Jun	The MOF allocated RMB 99.9bn in childcare subsidy funds for 2026, up 10.6% YoY, to support local governments in providing subsidies for eligible infants and young children. Total fiscal support for childcare subsidies across all levels of government is expected to reach around RMB 110bn for the full year.
2-Jun	The State Council released the 15th Five-Year Plan for Agricultural and Rural Modernization (2026–2030), targeting grain production capacity of around 725mn tonnes by 2030 and emphasizing food security, agricultural technology, and rural revitalization.
5-Jun	The Ministry of Housing and Urban-Rural Development released draft revisions to the Housing Provident Fund Regulations for public consultation. The draft expands provident fund usage and coverage, while revising the interest-rate decision mechanism by shifting authority from the PBOC to a joint proposal by the MOHURD, MOF, and PBOC.
8-Jun	President Xi visited North Korea, the first in seven years. The two sides agreed to deepen cooperation in trade, agriculture, science and technology, healthcare, and people-to-people exchanges, while reaffirming support for each other's sovereignty, security, and development interests.
8-Jun	The State Council held a briefing on the Urban Renewal Plan (2026–2030). Authorities outlined funding sources including fiscal resources, special government bonds, policy finance, and private-sector investment.
8-Jun	The U.S. Department of Defense added a number of major Chinese companies, including Alibaba, Baidu, BYD, NIO, Unitree Robotics, WuXi AppTec, YMTTC, and CXMT, to its list of "Chinese Military Companies" under Section 1260H. While the designation does not impose sanctions, it restricts future U.S. defense procurement involving the listed firms
11-Jun	The Beijing Administration for Market Regulation summoned e-commerce companies over issues related to "involution-style" competition during the 618 shopping festival. Regulators cited inadequate disclosure of subsidy programs and promotional rules, and urged platforms to shift from subsidy- and price-driven competition toward innovation and service quality.
11-Jun	The SAMR summoned seven third-party ticketing platforms and called for stricter compliance in rail ticket sales, targeting misleading "ticket-snatching" services, paid seat-selection products, and improper collection and use of personal data.
15-Jun	The NDRC launched a three-year carbon-reduction campaign for nine energy-intensive industries, including steel and aluminum smelting. Differentiated electricity tariffs of up to RMB 0.1/kWh will be imposed on inefficient capacity to accelerate industrial upgrading and capacity rationalization.
16-Jun	The head of NDRC chaired a symposium with private enterprises to solicit views on advancing the construction of the "Six Networks". The initiative was thought as both a key tool to unlock domestic demand and an important pillar for building a modern industrial system. Greater private-sector participation in major infrastructure projects was encouraged.
17-Jun	The PBOC announced six financial policy measures at the Lujiazui Forum, including narrowing the overnight repo rate corridor from 70bps to 50bps around the 7-day reverse repo rate (± 25 bps), a move aimed at strengthening policy-rate transmission and advancing a more price-based monetary policy framework.
22-Jun	The MOC and seven other agencies issued an action plan to accelerate "AI+ Consumption," introducing 17 measures to promote AI applications in smart devices, robotics, elderly care, retail, and logistics. The plan also supports the development of "AI+ Consumption" hubs and links AI adoption with consumer trade-in programs.
23-Jun	The MOC issued an action plan to attract foreign investment, introducing 15 measures focused on expanding market access, ensuring national treatment for foreign enterprises, improving cross-border data flows, and accelerating the rollout of guidelines governing local government investment incentives.
29-Jun	The MOC added 20 Japanese entities to its export control list, banning exports of dual-use items to the firms and halting related activities.

Summary of major economic indicators and forecasts

Date	Time	Economic indicator	Period	Actual	JPM Forecast	Previous reading
30-Jun	9:30	NBS Manufacturing PMI	Jun	50.3		50.0
30-Jun	9:30	NBS non-manufacturing PMI	Jun	50.2		50.1
1-Jul	9:45	RatingDog China manufacturing PMI	Jun	51.7		51.8
3-Jul	9:45	RatingDog China non-mfg PMI	Jun	54.1		54.4
7-Jul		FX reserves (\$ bn)	Jun		3,439	3,442
9-Jul	9:30	CPI (%oya)	Jun		1.2	1.2
9-Jul	9:30	PPI (%oya)	Jun		4.3	3.9
9-15 Jul		New bank loan (bn yuan)	Jun		1,912	520
9-15 Jul		Total social financing (bn yuan)	Jun		4,063	2,026
9-15 Jul		Total social financing (%oya)	Jun		7.6	7.7
9-15 Jul		Loan growth (%oya)	Jun		5.4	5.5
9-15 Jul		M2 growth (%oya)	Jun		8.7	8.6
14-Jul		Export growth (%oya)	Jun		20.4	19.4
14-Jul		Import growth (%oya)	Jun		29.7	27.5
14-Jul		Trade balance (\$ bn)	Jun		117.4	105.4
15-Jul	10:00	GDP (%oya)	2Q		4.7	5.0
15-Jul	10:00	Industrial production (%oya, ytd)	Jun		5.2	5.4
15-Jul	10:00	Industrial production (%oya)	Jun		4.6	4.5
15-Jul	10:00	Fixed asset investment (%oya, ytd)	Jun		-5.4	-4.1
15-Jul	10:00	Fixed asset investment (%oya)	Jun		-8.8	-10.7
15-Jul	10:00	Retail sales (%oya, ytd)	Jun		1.2	1.4
15-Jul	10:00	Retail sales (%oya)	Jun		0.1	-0.6
Jul		7-day reverse repo rate (%)	Jul		1.40	1.40
20-Jul	9:00	1-Year Loan Prime Rate (%)	Jul		3.00	3.00
20-Jul	9:00	5-Year Loan Prime Rate (%)	Jul		3.50	3.50
Jul		RRR for large banks (%)	Jul		9.00	9.00

Source: NBS, S&P Global, Bloomberg Finance L.P., J.P. Morgan forecasts.

Real GDP (2Q)

July 15

Following weaker-than-expected April–May activity data, we revised down our 2Q real GDP growth forecast to 3.3% q/q saar (from 4.0%), reflecting softer retail sales, a deeper contraction in fixed asset investment, weaker fiscal deployment, and continued housing-market weakness. While exports remained resilient and high-tech manufacturing continued to outperform, these supports were insufficient to offset broad domestic demand weakness. At the same time, we revised 3Q and 4Q growth forecasts up to 3.5% and 3.7% q/q saar, respectively, on expectations of continued global AI/tech demand, lower energy prices following the easing of Middle East disruptions, and stronger fiscal execution in 2H.

Table: China GDP forecast revision

	2026	1Q26	2Q26	3Q26	4Q26
%q/q, saar					
Old		6.7	4.0	3.2	3.2
New			3.3	3.5	3.7
%oya					
Old	4.7	5.0	4.9	4.8	4.3
New	4.7	4.7	4.7	4.7	4.3

Source: NBS, J.P. Morgan

Industrial production (June)

July 15

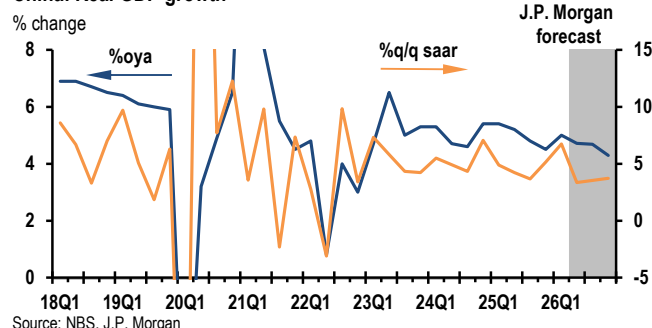
Industrial production increased 4.5%oya or 0.2%m/m sa in May, after April's sharp contraction. Underlying momentum remained soft, with the trend pace slowing to 1.0%3m/3m saar. Industrial upgrading continued. High-tech and equipment manufacturing outperformed amid a tech-cycle upswing and policy support, accelerating to 15.1%oya and 9.5%, respectively. Output of 3D printing equipment, lithium-ion batteries, industrial robots and integrated circuits also increased. NEV production rebounded strongly amid higher gasoline prices. We look for IP to rise 0.5%m/m sa, leaving annual growth decent, at 4.6%oya in June.

Real industrial production

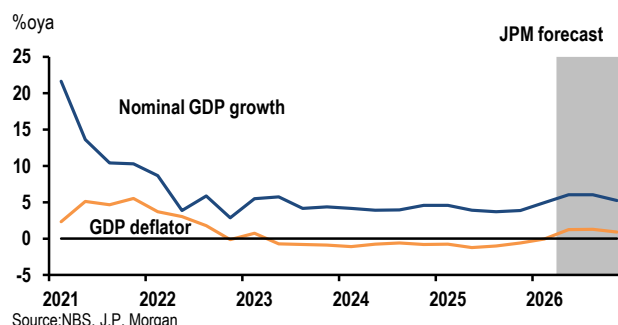
	2025	Mar-26	Apr-26	May-26	Jun-26
Headline					
%oya	5.9	5.7	4.1	4.5	4.6
%m/m, sa		0.2	-1.1	0.2	0.5

Source: NBS, J.P. Morgan forecasts

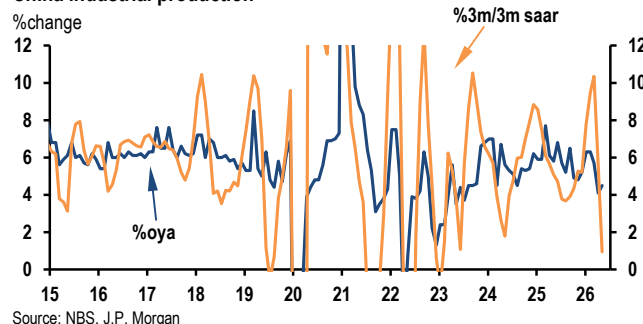
China: Real GDP growth



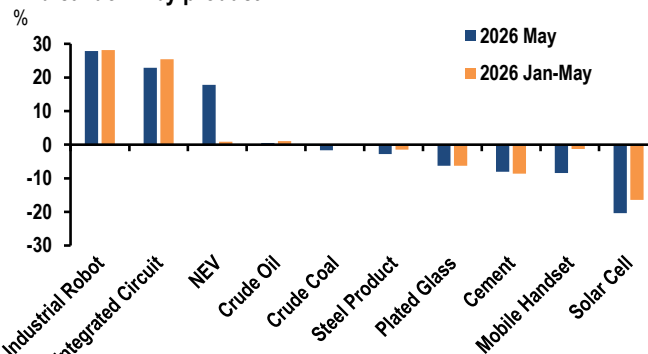
Nominal GDP and GDP deflator



China industrial production



IP breakdown by product



07 July 2026

Manufacturing PMI (June)

June 30

Both the NBS and RatingDog PMIs suggest manufacturing stayed in modest expansion in June, with activity holding up after the April–May soft patch. Output and new orders point to near-term stabilization and a small improvement in order momentum, rather than a clear cyclical upturn. External demand remains mixed: the more private-sector-skewed RatingDog export orders slipped back into contraction territory, implying export resilience is becoming more contested, while the NBS export gauge moved back slightly above the expansion line. Pricing signals easing cost pressures but limited reflation, with downstream pricing power still weak.

China: NBS PMI

Index, sa

	2025	Feb-26	Mar-26	Apr-26	May-26	Jun-26
Manufacturing (NBS)	49.6	49.0	50.4	50.3	50.0	50.3
Output	50.9	49.6	51.4	51.5	51.2	51.4
New orders	49.9	48.6	51.6	50.6	49.9	51.2
New export orders	47.4	45.0	49.1	50.3	48.6	50.1
Non manufacturing (NBS)	50.2	49.5	50.1	49.4	50.1	50.2

Source: NBS, J.P. Morgan

Merchandise trade (June)

July 14

China's May exports rose 3.1%/m sa after April's jump, lifting annual growth to 19.4%oya. High-tech shipments increased for a seventh consecutive month, led by mobile phones, electronic ICs and ADP. Prices likely provided a meaningful boost. Imports expanded for a sixth straight month, rising 2.9%/m sa (27.5%oya), after undershooting for most of 2025. Import strength appears driven more by AI supply chain needs and commodity stockpiling (e.g., coal) than a broad domestic-demand recovery. Crude imports continued to fall, reflecting reduced demand and inventory draw-downs. We expect a 1.3%/m sa gain in June exports.

Merchandise trade

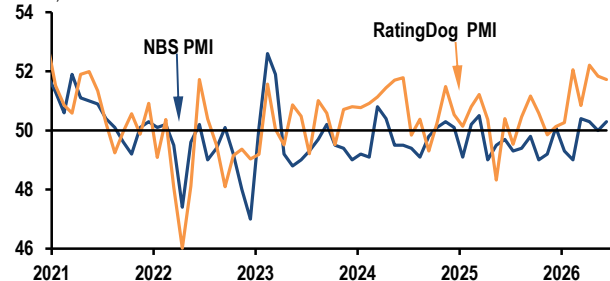
US\$ billion and percent change

	2025	Mar-26	Apr-26	May-26	Jun-26
Exports					
\$ billion	3770.5	321.0	359.4	376.8	<u>390.9</u>
%oya	5.4	2.5	14.1	19.4	<u>20.4</u>
%m/m, sa		-18.8	6.7	3.1	<u>1.3</u>
Imports					
\$ billion	2587.8	270.5	274.6	271.3	<u>273.5</u>
%oya	0.1	28.1	25.3	27.5	<u>29.7</u>
%m/m, sa		4.4	2.4	2.9	<u>-1.9</u>
Trade balance					
\$ billion	1182.8	50.6	84.8	105.4	<u>117.4</u>

Source: Customs Statistics, J.P. Morgan

China manufacturing PMIs

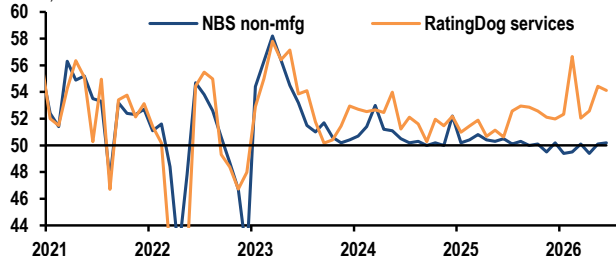
Index, sa



Source: S&P Global, NBS, J.P. Morgan

China: Non-manufacturing PMIs

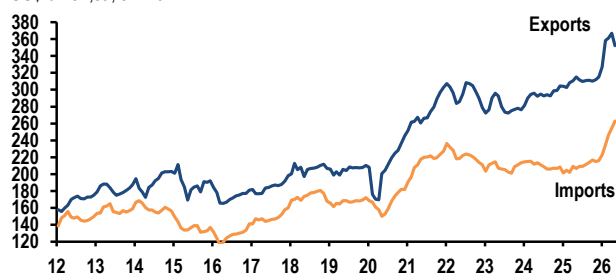
Index, sa



Source: NBS, S&P Global, J.P. Morgan

China: merchandise exports and imports

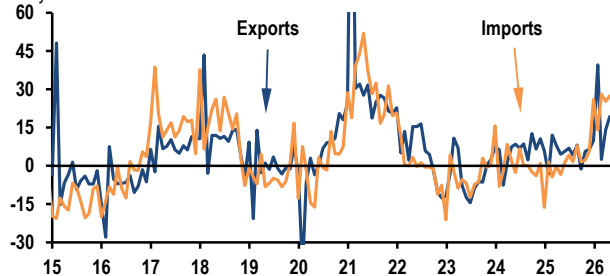
US\$ billion, sa, 3mma



Source: China Customs, J.P. Morgan

China merchandise trade growth

%oya



Source: China Customs, J.P. Morgan

Retail sales (June)

July 15

Retail sales softened further in May, falling 0.6%oya on a 0.1% m/m sa decline. Auto retail sales plunged a further 16.4%oya (-1.1% m/m sa). Ex. autos, retail sales rose 0.9%oya, down from 1.7% in April. Several categories recorded sharp declines: spending on household electronics fell 15.6%oya (vs -15.1% April), construction and decoration materials sales fell 13.6%, gold and silver jewelry fell 8.9%, and consumption of oil and related products fell 3.2%.

Services spending continued to outperform: services retail sales grew 5.4%oya ytd in May, led by communications, software & information, leasing and business, financial, and transport and storage services. Online sales expanded further, with services outpacing goods. Urban unemployment rate edged down to 5.1%, although it may not fully reflect the state of the job recovery and underemployment. We expect retail sales to tick up 0.2% m/m sa in June.

Retail sales

	2025	Mar-26	Apr-26	May-26	Jun-26
Value					
%oya	3.7	1.7	0.2	-0.6	<u>0.1</u>
%m/m, sa		-0.1	-0.2	-0.1	<u>0.2</u>

Source: NBS, J.P. Morgan forecasts

Auto production and sales (June)

July 15

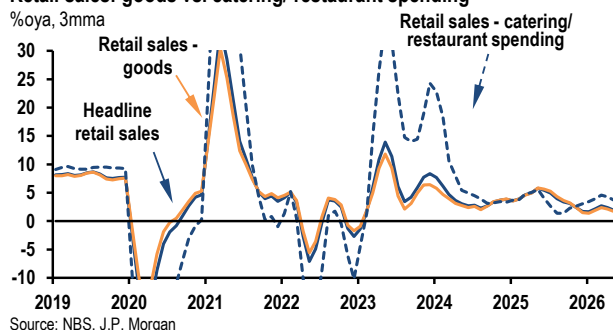
Auto production (units, NBS) declined a further 3.2%oya in May, compared to -2.6% in April. Similarly, auto sales value declined a further 16.4%oya, dragging on auto sector industrial profits and weighing on overall retail sales. Export growth (value) remained strong, though momentum is moderating. May auto exports rose 39.3%oya, slowing from the average 44% in March and April. on the external front. 2026 trade-in subsidies continued to include autos, but the purchase tax exemption for NEVs has been reduced to 50%, dampening demand.

China Automobile Production and Sales

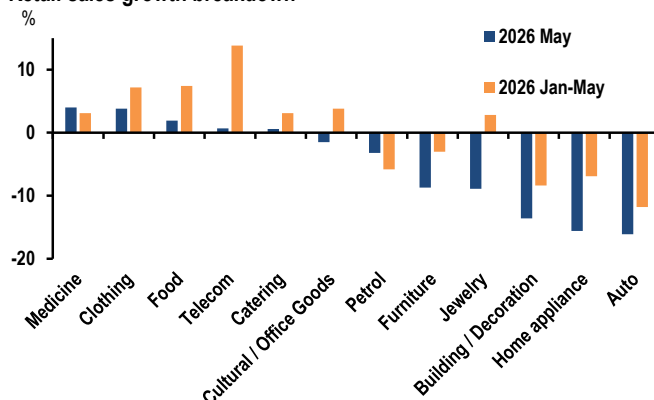
% change		2025	Jan-Feb-26	Mar-26	Apr-26	May-26
Production (unit)	%oya	9.8	-9.9	-0.1	-2.6	-3.2
	%m/m sa		-4.7	5.4	-1.5	0.9
Retail sales (value)	%oya	-1.5	-7.3	-12.0	-15.4	-16.4
	%m/m sa		-1.0	-1.9	-2.9	-1.1

Source: NBS, J.P. Morgan estimates

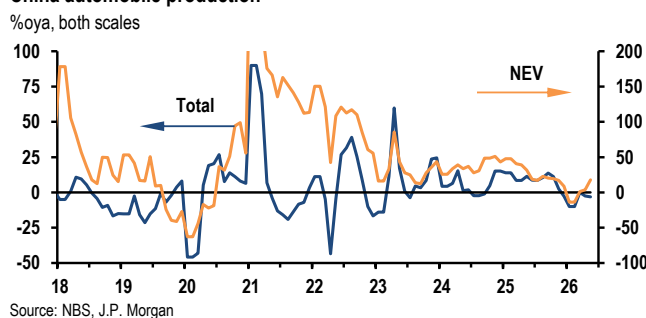
Retail sales: goods vs. catering/ restaurant spending



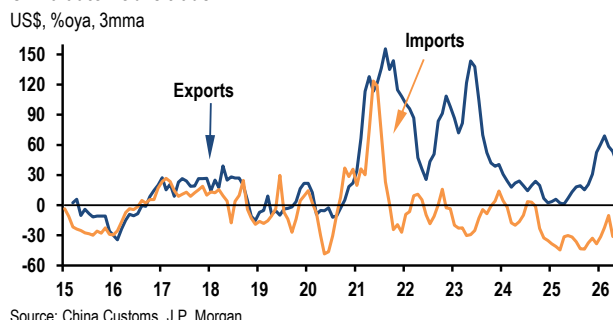
Retail sales growth breakdown



China automobile production



China automobile trade



07 July 2026

Fixed investment (June)

July 15

Fixed asset investment (FAI) contracted sharply by 10.7%oya in May (vs -8.0% April), dragging the ytd FAI further into contraction at -4.1%oya ytd (vs +1.7% in 1Q). By sector, real estate FAI (-24.3%oya) fell the most and drove the decline, indicating a contraction stronger than seen in 1Q. Manufacturing (-4.2%oya) and infrastructure (-9.4%) also contracted. Within manufacturing, investment broadly cooled or contracted – led by special purpose equipment, chemicals, and pharmaceuticals – while high-tech manufacturing FAI held up better (electrical machinery and equipment, computers, communications and other electronic equipment). Infrastructure softness was broad-based across environmental management, utilities, and transport

Policy support has somewhat lost steam and become less front-loaded in April and May, despite a stronger 1Q push, especially for “effective investment”, as shown in strong year-start infrastructure investment. The lack of projects in reserve, weak local finances, and the missing private sector enthusiasm may explain the subsequent weaker investment in April and May. Indeed, not only have the intended multiplier effects yet to materialize from fiscal support for investment, but there is also a lack of conviction in providing further consumption stimulus, with waning trade-in subsidies and weak household credit. A possible policy pivot away from boosting consumption to a focus on infrastructure spending, as we were expecting, has yet to be seen.

We expect FAI to decline 8.8%oya in June, up slightly from the 10.7% drop in May.

Fixed asset investment percent change

	2025	Mar-26	Apr-26	May-26	Jun-26
Total fixed investment					
%oya		1.6	-8.0	-10.7	<u>-8.8</u>
%oya, ytd	-3.8	1.7	-1.6	-4.1	<u>-5.4</u>

Source: NBS, J.P.Morgan forecasts

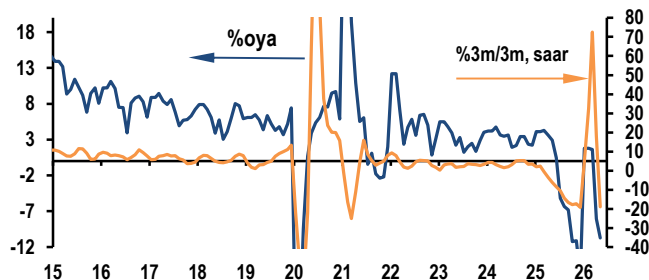
China fixed assets investment by industry %oya, ytd

	% share (2025)	Jan-Feb-26	Mar-26	Apr-26	May-26
Total fixed investment	100.0	1.8	1.7	-1.6	-4.1
Manufacturing	37.9	3.1	4.1	1.2	-0.4
Infrastructure	30.1	11.4	8.9	4.3	0.6
- Electricity, gas & water production and supply	8.4	13.1	9.0	4.4	-0.1
- Transport infrastructure	10.6	9.1	16.3	11.1	7.1
- Water conservation, environment manag.	11.1	8.3	3.6	-0.1	-3.9
Real estate	10.1	-11.1	-11.2	-13.7	-16.2

Source: NBS, J.P.Morgan

China: nominal fixed asset investment growth

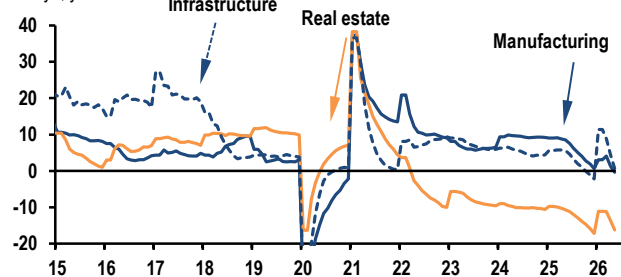
%, both scales



Source: NBS, J.P. Morgan

China FAI growth by industry

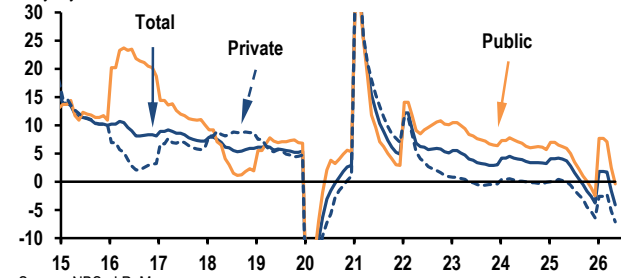
%oya, ytd



Source: NBS, J.P. Morgan

FAI growth: Public vs private sectors

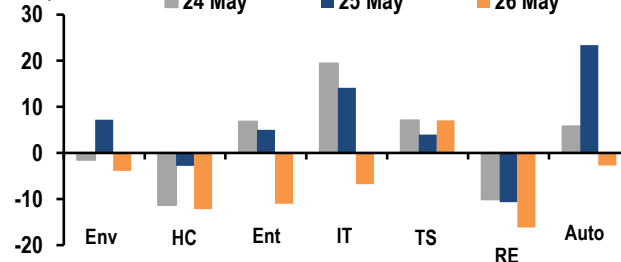
%oya, ytd



Source: NBS, J.P. Morgan

China: FAI by industry

%oya



Note: Env= Environment; HC= Health care; Ent= Entertainment; IT= Information technology; TS= Transportation/Storage; RE=Real estate
Source: NBS, J.P. Morgan

Industrial profits (June)

July 27

Headline industrial profits growth edged up to 18.8%oya ytd, while the pace of expansion slightly moderated to 21.1%oya in May. Sales revenue rose 5.5%oya ytd, while costs rose more slowly at 4.7%, supporting net profit margin. That said, accounts receivable climbed 7.7%oya and finished goods inventories rose 8.8%, pointing to cash conversion pressure and slower turnover. Profit gains remained broad-based across ownership types, led by shareholding firms (+24.1%oya ytd), followed by SOEs (+19.6%), private (+10.7%) and foreign firms (+4.2%).

Sectoral performance continued to show a two-speed picture. Electronics (+103.9%oya ytd) and high-tech (+44.7%) manufacturing profits outperformed on the global AI upcycle and strong demand for memory chips. Energy-linked industries' profits improved, with petro-processing turning from last year's loss to profit and chemical profits rising by 71.6%oya ytd. In contrast, downstream and consumer-related industries lagged, with deeper declines in furniture (-58.4%oya ytd) and autos (-19.8%), and continued weakness in apparel and cultural/sports/entertainment goods.

Industrial enterprise profit growth

% change

	2025	Jan-Feb-26	Mar-26	Apr-26	May-26
Profit growth (%oya, ytd)	0.6	15.2	15.5	18.2	18.8
Profit growth (%oya)		15.2	15.8	24.7	21.1
Sales revenue (%oya, ytd)	1.1	5.3	5.0	5.2	5.5
Cost of sales (%oya, ytd)	1.3	5.0	4.5	4.5	4.7
Profit margin (%)	5.31	4.92	5.11	5.43	5.56

Source: NBS, J.P. Morgan

Labor market and consumer confidence (June)

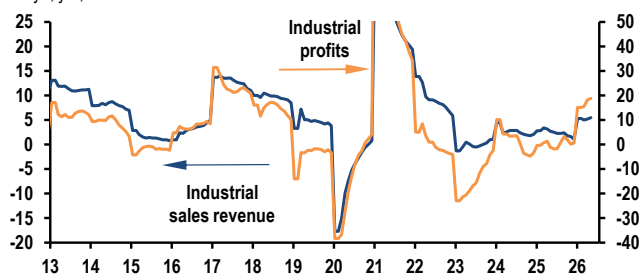
July 15

The survey-based urban unemployment rate and the surveyed unemployment rate in 31 cities both edged down to 5.1% in May from 5.2% in April. Meanwhile, the unemployment rate for the age group 16-24 (excluding students) fell to 15.6% (vs. 16.3 in April).

Consumer confidence ticked up in May, but remains at subdued levels. The headline consumer confidence index edged up to 89.9 in May (vs. 89.0 in April, average monthly reading of 88.7 in 2025). In the breakdown, the employment component ticked up to 74.6 (vs. 73.4 in April, 2025 average 73.6), while the income component rose to 98.8 (vs. 97.9 in April, 2025 average 96.8).

China industrial enterprises' profits and sales revenue

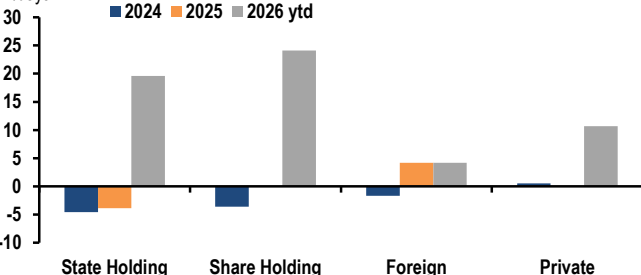
%oya, ytd, both scales



Source: NBS, J.P. Morgan

Industrial enterprise profit growth by type

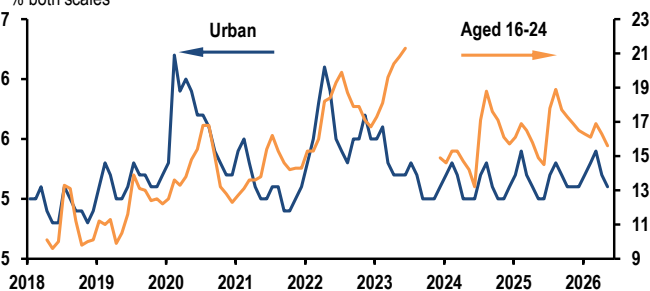
%oya



Source: NBS, J.P. Morgan

China: Survey-based unemployment rate

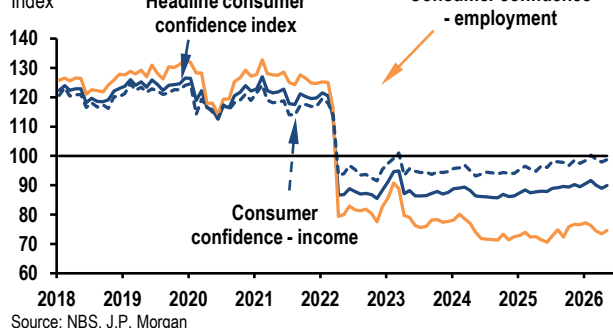
% both scales



Source: NBS, J.P. Morgan

China consumer confidence index

Index



Source: NBS, J.P. Morgan

07 July 2026

Consumer prices (June)

July 9

Headline CPI inflation stabilized at 1.2%oya, rising 0.1%m/m sa with broadly muted moves across major components. Transport/communication increased 0.2%m/m sa, but passenger cars and vehicle fuel fell on the month, while communication tools jumped as AI-related memory tightness fed through; the NBS highlighted price gains in mobile phones and tablets. Education/culture/entertainment rose on Labor holiday tourism. Food deflation persisted, led by fresh vegetables and pork. Misc. goods/services (including gold jewelry) slipped again, though still added to headline inflation. Core CPI eased to 1.1%oya.

High-frequency tracking indicates that agricultural food prices and pork wholesale prices continued to decline, which will likely weigh on headline CPI. We expect headline CPI to rise 1.2%oya (or 0.1% m/m sa) in June.

Consumer price indices

percent change

	2025	Mar-26	Apr-26	May-26	Jun-26
Headline CPI					
%oya	0.0	1.0	1.2	1.2	<u>1.2</u>
%m/m, sa		0.2	0.2	0.1	<u>0.1</u>

Source: NBS, J.P. Morgan forecasts

Producer prices (June)

July 9

PPI extended its upturn in the May, rising 0.8%m/m sa and 3.9%oya. Relative to last month, the gain reflected industrial upgrading and AI-driven compute demand, lifting prices for metals, electrical machinery and electronics. Seasonal “summer peak” demand also supported coal, cooling appliances and power. Gains were partly capped by global oil price swings that pulled upstream oil and refining prices lower and cooled oil-linked chemicals. Producer-goods inflation strengthened, while consumer-goods PPI remained in deflation amid weak demand and limited pass-through. The manufacturing input price PMIs remained expansionary but slowed in pace. We expect PPI to rise 4.3%oya (or 0.4% m/m sa) in June.

Producer prices

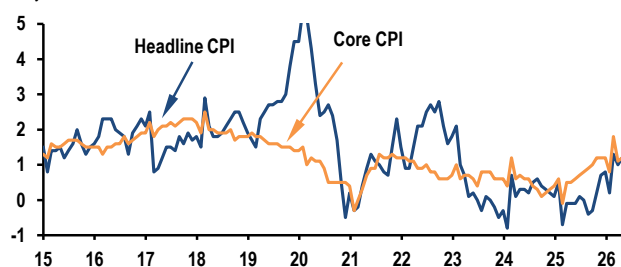
percent change

	2025	Mar-26	Apr-26	May-26	Jun-26
Producer (NBS)					
%oya	-2.6	0.5	2.8	3.9	<u>4.3</u>
%m/m, sa		1.0	1.7	0.8	<u>0.4</u>

Source: NBS, J.P. Morgan forecasts

China: CPI trends

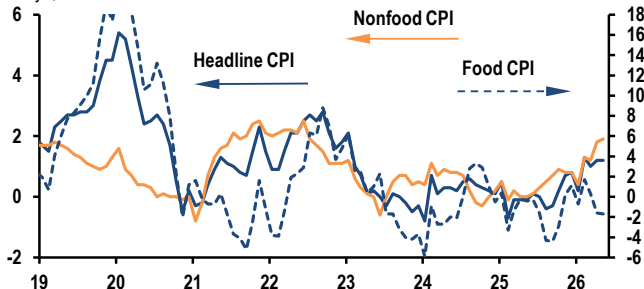
%oya



Source: NBS, J.P. Morgan

China: Headline CPI, food and nonfood CPI

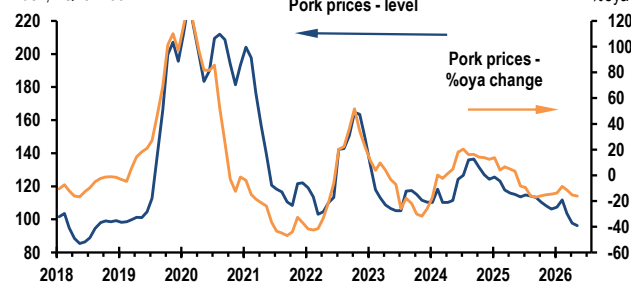
%oya, both scales



Source: NBS, J.P. Morgan

China: CPI - pork prices

Index, 1Q18=100



Source: NBS, J.P. Morgan

China: PPI vs. global commodity price index

%oya, both scales



Source: NBS, IMF, J.P. Morgan

House prices (June)

July 15

The NBS 70-city new-home price decline stabilized at 0.20%/m/m nsa, and the secondary home price fall widened modestly to 0.26%/m/m nsa in May. Weakness continued to be concentrated in lower-tier cities, while tier-1 cities posted sequential gain. New-home prices are now down 13.7% from the 2021 peak; secondary prices are down 22.6%. Centaline's sales manager confidence index and the secondary home asking price index both edged down in June.

NBS - 70 Med-Large cities residential housing price changes

% share of total cities	%m/m decline	unchanged	%m/m increase
May 25	75.7	5.7	18.6
Jun 25	80.0	0.0	20.0
Jul 25	85.7	5.7	8.6
Aug 25	81.4	5.7	12.9
Sep 25	90.0	2.9	7.1
Oct 25	91.4	0.0	8.6
Nov 25	84.3	4.3	11.4
Dec 25	82.9	8.6	8.6
Jan 26	88.6	4.3	7.1
Feb 26	75.7	10.0	14.3
Mar 26	77.1	2.9	20.0
Apr 26	70.0	10.0	20.0
May 26	74.3	2.9	22.9

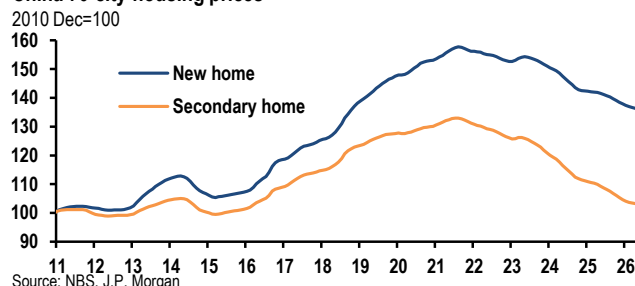
Source: NBS, J.P. Morgan

Housing activities (June)

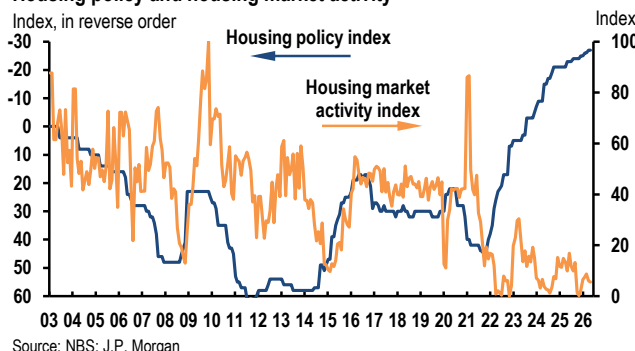
July 15

JPM's housing activity index ticked down further in May. The downtick reflected a steeper decline in real estate FAI and new home sales, as well as a recent acceleration in land sales contraction. The State Council published the Urban Renewal 15th FYP in early June, positioning urban renewal as a key tool for proving livelihoods, stabilizing the property market, and supporting high-quality urban growth. China's housing market remains in a time-inconsistency trap. Policy-makers aim to improve affordability and reduce reliance on property, but have slowed price clearing to protect household wealth and local governments, forcing the adjustment mainly through quantities. As a result, the baseline should not yet be reassessed: current trends look more like narrow, K-shaped stabilization within a prolonged quantity adjustment, not the start of a durable nationwide recovery.

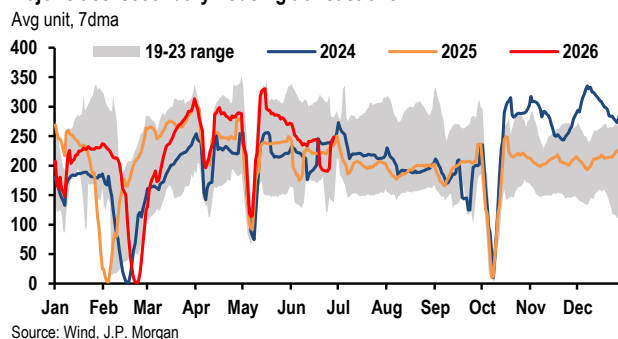
China 70-city housing prices



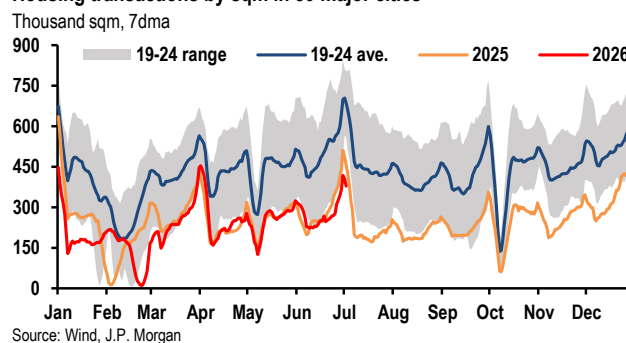
Housing policy and housing market activity



Major cities' secondary housing transactions



Housing transactions by sqm in 30 major cities



07 July 2026

Money aggregates (June)

July 9-15

May new loan creation turned positive after April's contraction at 520bn yuan, but was still the weakest May print since 2009. Corporate short-term loans and bill financing, a tool banks sometimes use to meet credit creation targets, provided the main lift. However, household loans and corporate medium- and long-term loans remained in contraction, signaling general demand weakness. Loan growth slowed to a new low of 5.5%. We expect new loan creation to pick up to 1,912bn yuan in June and M2 growth to edge higher, to 8.7%oya.

Money aggregates

percent change

	2025	Mar-26	Apr-26	May-26	Jun-26
M1 (%oya)	3.8	5.1	5.0	5.5	
M2 (%oya)	8.5	8.5	8.6	8.6	8.7
New loan creation					
bn yuan	16,270	2,990	-10	520	1,912
%oya (stock)	6.4	5.7	5.6	5.5	5.4
TSF flow					
bn yuan	35,609	5,224	624	2,026	4,063
%oya (stock)	8.3	7.9	7.8	7.7	7.6

Source: PBOC, J.P. Morgan forecasts

Aggregate financing (June)

July 9-15

TSF growth slowed by 0.1%pt to a historical low of 7.7%oya, with TSF flow at Rmb2029bn in May. Government bond issuance accelerated, mainly driven by CGBs, including special CGBs, while special LGB issuance remained slow. While loans and government bonds still dominate credit momentum, the broader pick up in other TSF components since mid-2025 is encouraging. If domestic demand weakness persists, we expect an acceleration in government bond issuance and fund deployment in 3Q. We expect TSF flows to rise to 4,063bn yuan in June, with TSF growth ticking down to 7.6%oya.

Breakdown of aggregate financing

Yuan bn

	2025	4Q25	Mar	Apr	May
Total social financing	35609	5524	5224	625	2029
Loans in local currency	15915	1375	3152	-401	501
Loans in foreign currency	-204	-110	42	18	12
Entrusted loans	120	178	-28	-28	-9
Trust loans	368	168	-17	-13	5
Bankers acceptance bills	11	-290	126	-528	-68
Net corporate bond financing	2392	819	391	452	172
Nonfin enterprise equity	476	160	43	84	30
Government bonds	13837	2376	1166	904	1222

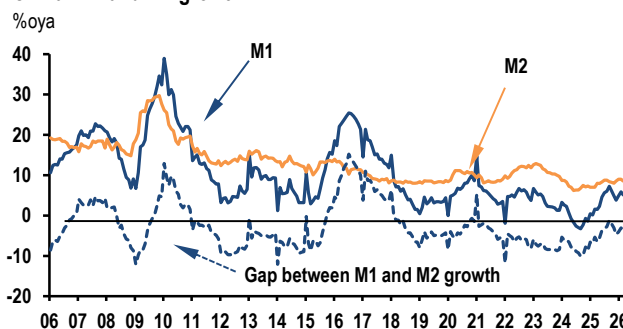
Source: PBOC, J.P. Morgan

China: TSF growth



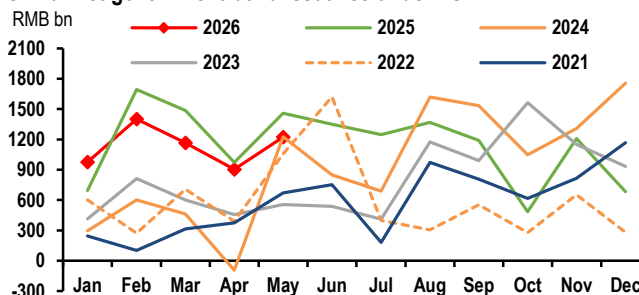
Source: PBOC, J.P. Morgan

China: M1 and M2 growth



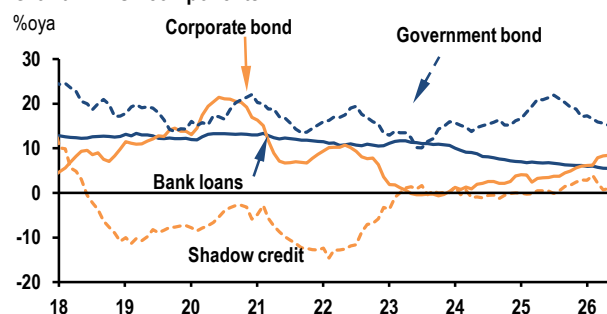
Source: PBOC, J.P. Morgan

China: Net government bond issuance under TSF



Source: PBOC, J.P. Morgan

Growth in TSF components



Source: PBOC, J.P. Morgan

Interest rates

Daily release

The policy rate – the seven-day reverse repo rate – was kept unchanged in June. For key market rates, DR007, three-month SHIBOR, and 10-year CGB yield rose 17bps, 3bps, and 3bps, respectively, while the one-year CGB yield ticked down 3bps.

While the PBOC's 1Q26 monetary policy operations report struck a relatively more hawkish tone and points to low odds of a near-term cut, recent weakness, especially the surprisingly soft April activity data and downside risks to 2Q GDP, should keep a rate cut on the table. A more hawkish Fed and other major central banks may complicate the external backdrop, but China's rate decision should remain driven by domestic conditions, particularly with the CNY still resilient and the main pressure being to slow appreciation rather than defend against depreciation. A cut could become more likely in 2H if growth headwinds intensify. As usual, a 10bp move would likely be more of a policy signal than a meaningful easing impulse.

China: benchmark rates

% pa

	4Q25	1Q26	2Q26	3Q26F
1-year lending	4.35	4.35	4.35	4.35
1-year deposit	1.50	1.50	1.50	1.50
7-day reverse repo rate	1.40	1.40	1.40	1.30

Source: PBOC, J.P. Morgan forecasts

Open market operations

Daily release

PBOC net injected 583bn yuan via pledged 7-day OMO and 200bn yuan via MLF in June, while withdrawing 300bn yuan via outright OMO. The PBOC also initiated overnight reverse repos at the end of June, in line with Governor Pan's announcement at the Lujiazui forum. But the operation's rate was not disclosed, signaling a near-term focus on 7-day reverse repo. Liquidity provision via OMOs or the MLF could expand later in the year if liquidity needs rise.

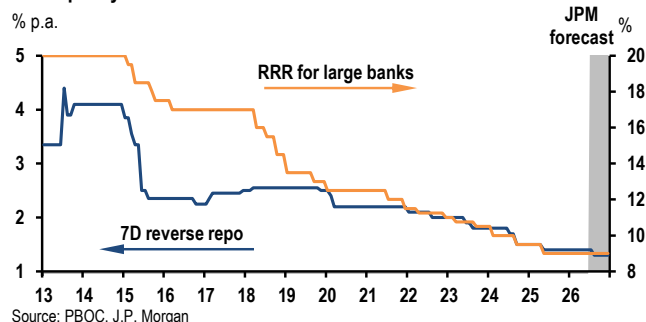
China: reserve requirement ratios

% pa

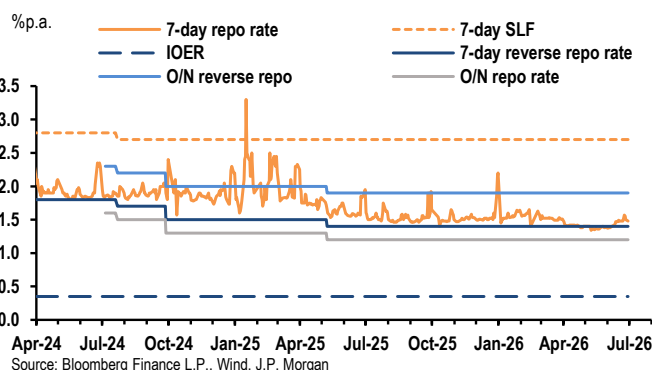
	4Q25	1Q26	2Q26	3Q26F
Large banks	9.00	9.00	9.00	9.00
Medium banks	6.00	6.00	6.00	6.00
Small banks	5.00	5.00	5.00	5.00

Source: PBOC, J.P. Morgan forecasts

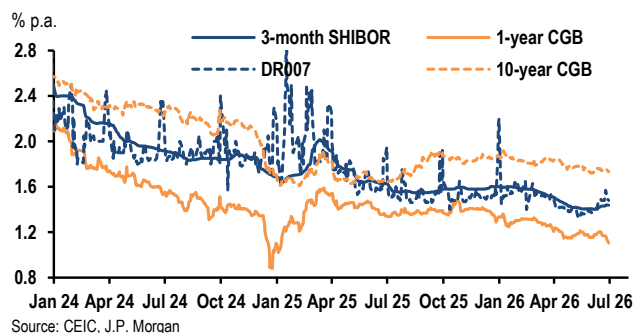
China policy rate and RRR



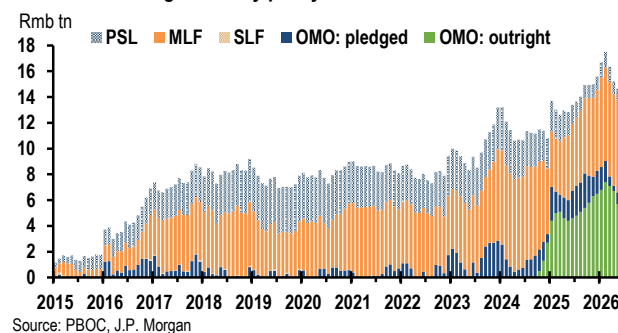
China's interest rate corridor



China interest rates



China outstanding monetary policy instruments



Fiscal position (June)

July

Headline general budget expenditure continued to contract for a second month (-1.6%oya), with infrastructure outlays the main drag (-12.0%oya). This helps explain the continued weakness in infrastructure and public FAI in May. General budget revenue maintained solid growth at 6.6%oya, with gains in both tax and non-tax revenues. Outside the general budget, revenue and expenditure in government-managed funds both saw sharp declines, amidst a recent acceleration in land sales contraction, underscoring ongoing drag from the housing/land downturn on local-government fiscal conditions. Fiscal deposits increased further, reaching May levels second only to 2025 over the past decade.

Fiscal delivery remained less front-loaded than we had expected through May, leaving more budgetary room for the rest of the year. Special local government bond issuance picked up to nearly 500bn yuan mtd in June, signaling reactive acceleration in utilizing the remaining fiscal resources, but project deployment is likely to lag. Looking ahead, the fiscal path is seen in two stages: stage 1 is about executing NPC-approved budgets and drawing down deposits to support 2H investment, and stage 2 is conditional, potentially adding more fiscal support if 2Q growth undershoots the 4.5–5% full-year target range, albeit with less conviction due to the flexibility of a range target.

China: monthly fiscal condition
%oya

	2025	Jan-Feb-26	Mar-26	Apr-26	May-26
Revenue	-1.7	0.7	6.9	6.7	6.6
Expenditure	1.0	3.6	1.0	-3.2	-1.6
Balance (ytd, % of target)		3.2	16.5	14.4	16.9

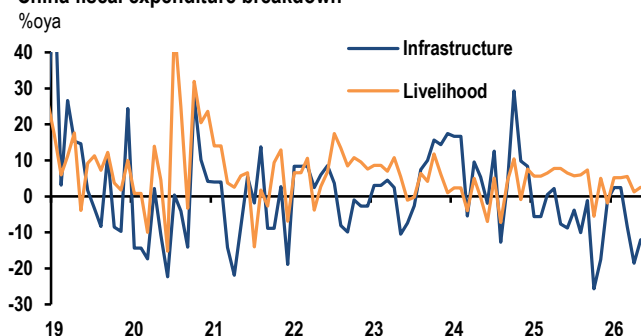
Source: MOF, J.P. Morgan

Monetary conditions (June)

July 9-15

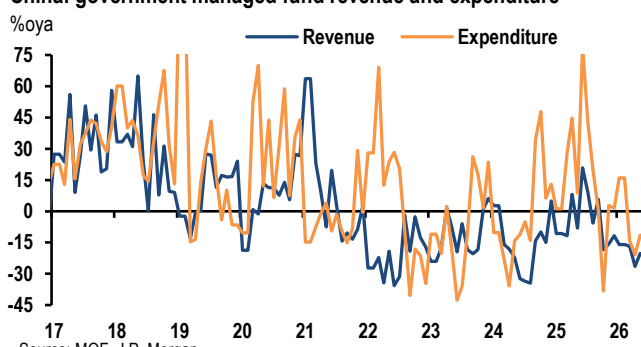
Our credit impulse estimate, the gap between TSF growth and nominal GDP growth, slipped a further 0.3pt to 3.3%. The continued slide in loan growth underscores broad demand weakness across households and corporates. A durable loan demand rebound requires stronger private-sector confidence. While PPI has ticked up, the improvement is narrow, and margin pressure in mid- and downstream sectors may keep capex and loan demand soft. If the reported 2tr yuan state-led data-center/computing-hub funding plan is implemented, it could bring supplementary loan demand via targeted credit tools or policy banks, but likely over multiple years and not enough to reverse the downturn in overall loan growth.

China fiscal expenditure breakdown



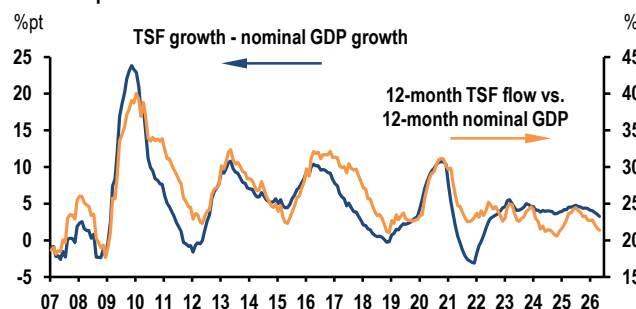
Source: MOF, J.P. Morgan

China: government managed fund revenue and expenditure



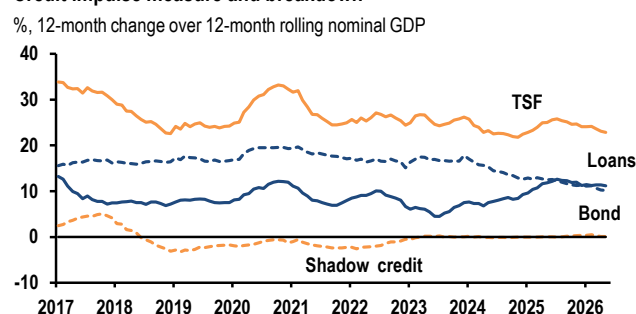
Source: MOF, J.P. Morgan

Credit impulse measures



Source: NBS, PBOC, J.P. Morgan

Credit impulse measure and breakdown



Source: PBOC, J.P. Morgan

Currency exchange rate

Daily release

CFETS CNY has strengthened from 101.3 to 102.8 in June, though USD/CNY gains were partly capped by renewed USD strength. The CFETS basket has more than fully retraced the 2025 depreciation: it was broadly stable through April before jumping higher. Last year's CNY TWI weakness drew push-back from non-US trading partners amid China's record trade surplus, reviving accusations of "intended" depreciation alongside a pronounced decline in the REER. In our view, China's export outperformance is better explained by manufacturing efficiency gains and domestic deflation than by FX undervaluation. A firmer CNY basket could also help ease geopolitical frictions and support RMB confidence.

Banks' FX settlement ratio, a proxy for customers' willingness to convert foreign currency into RMB, rose to 50.9% in May from 50.2% in April. The FX sales ratio (customers' willingness to buy foreign currency) also increased, from 49.8% to 50.0%. Consequently, the net FX settlement ratio (settlement minus sales) widened to 0.9%pt in May from April's 0.4%pts.

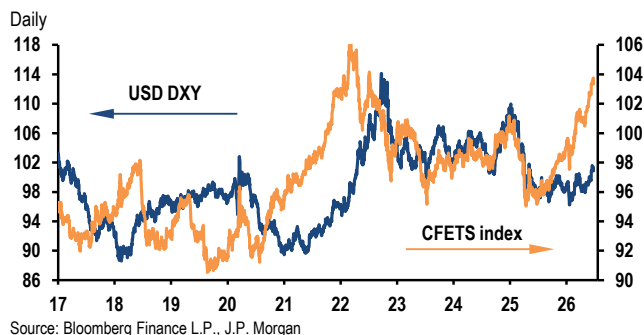
FX reserves (June)

July 7

May FX reserves surprised to the upside again, rising US\$31.7bn to \$3442.2bn. Exports beat expectations on strong high-tech shipments, with a growing price lift in memory chips/modules, AI datacenter equipment, and new energy. Imports firmed for a sixth month, driven more by AI supply-chain needs and commodity stockpiling than broad domestic-demand recovery. The current account surplus widened to US\$67.9bn in May. Including a US\$12.3bn valuation loss, implied capital outflows widened to US\$24.0bn. For June, we expect FX reserves to have slightly ticked down to US\$3,439bn.

Recent regulatory moves have raised questions about whether China is meaningfully tightening outbound capital flows. The cross-border enforcement aims to shut down illicit solicitation/servicing and re-route flows into supervised pathways, rather than imposing a blanket ban on offshore investing. Against the backdrop of easing near-term capital outflow pressure and CNY strengthening, the State Council's Regulations on Outbound Investment also appear to be less about restricting outbound investment, but to standardize governance and tighten enforcement around activities that already sit within existing rules.

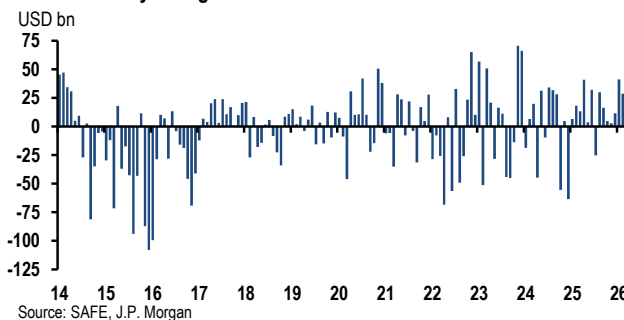
CNY CFETS index vs USD DXY



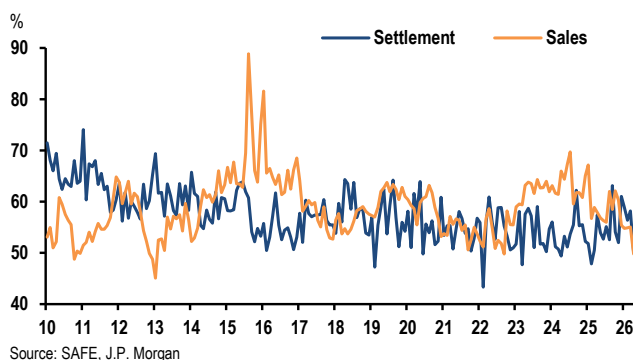
CNY exchange rate



China: Monthly change in FX reserves



Banks' FX sales/settlement ratio on behalf of clients



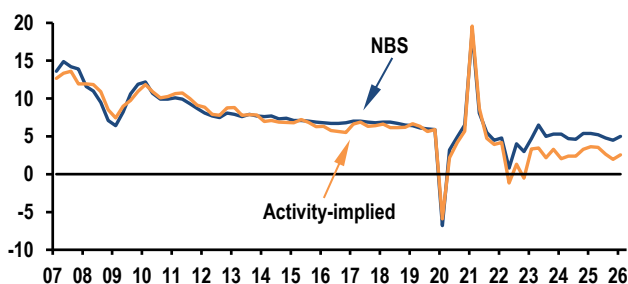
07 July 2026

Manufacturing and industrial activity tracking

See [China's two-speed economy](#), October 2015, for tracking activity details.

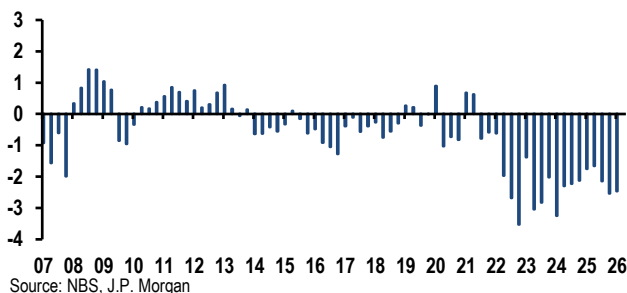
NBS vs. activity-implied GDP growth

%oya, quarterly



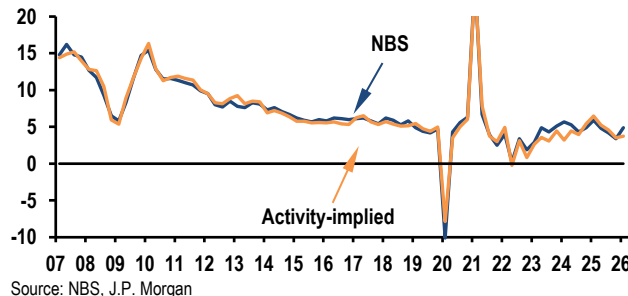
Gap between NBS and activity-implied GDP growth

%



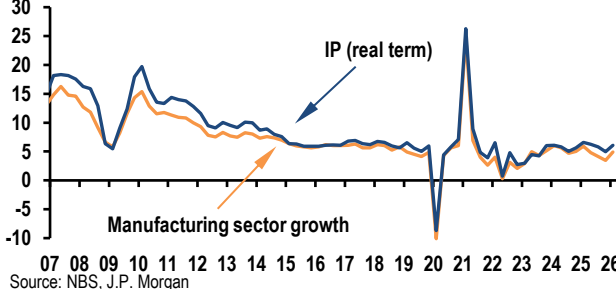
NBS vs. activity-implied GDP growth in manufacturing sector

%oya, quarterly



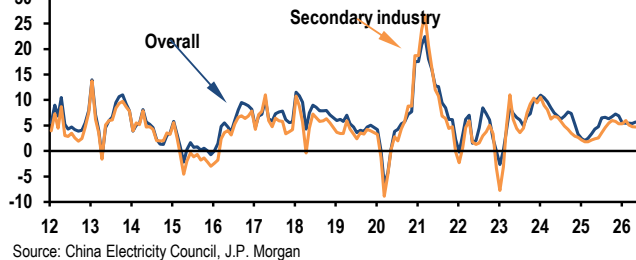
Manufacturing sector growth vs. IP growth

%oya, quarterly



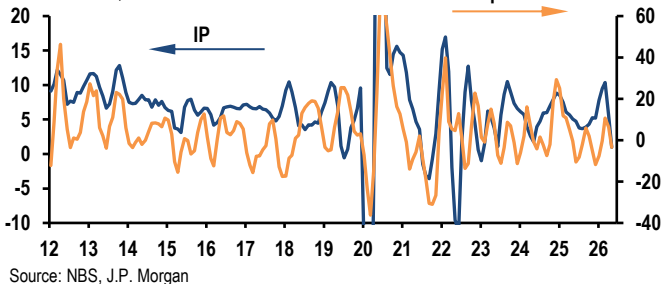
Electricity consumption breakdown

%oya, 3mma



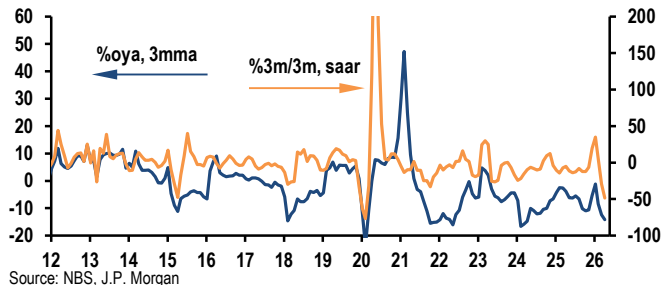
IP and steel production

%3m/3m saar, both scales



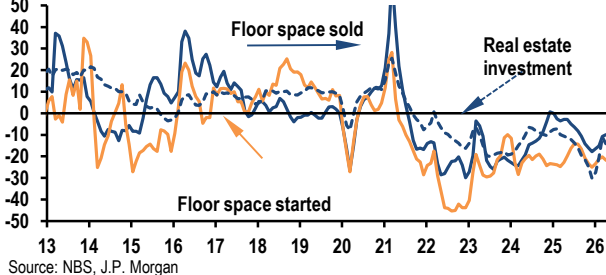
Cement production

% change, both scales



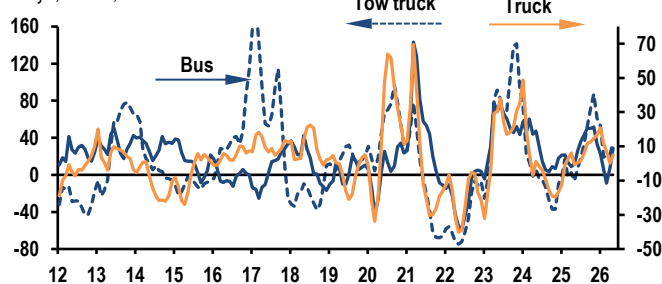
Commodity building floor space and real estate investment

%oya, 3mma



Commercial vehicle sales

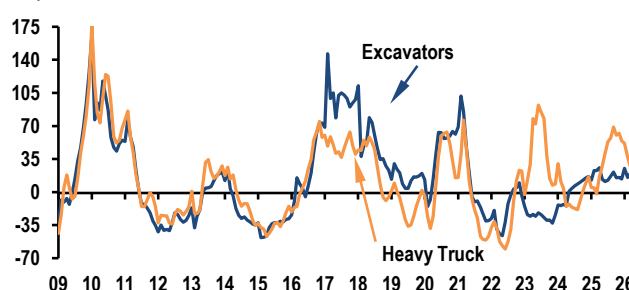
%oya, 3mma, both scales



Source: CAAM, J.P. Morgan

Construction machinery and truck sales growth

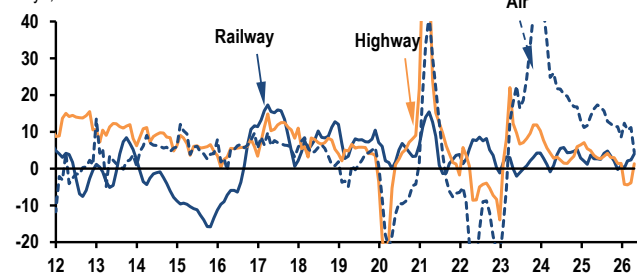
%oya, 3mma



Source: CEIC, J.P. Morgan

Freight volume

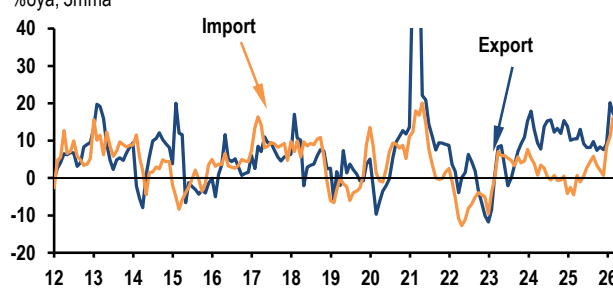
%oya, 3mma



Source: China railway corp, MoT, Civil Aviation, J.P. Morgan

Trade volume

%oya, 3mma



Source: China customs, J.P. Morgan

Table: Tracking indicators for the manufacturing sector

	3Q25	4Q25	1Q26	Apr-26		May-26		YTD	
	% oya , 3mma			Absolute	% oya , 3mma	Absolute	%oya, 3mma	% oya	%oya
Tracking indicators									
Industrial Production(Billion Yuan)	5.8	5.0	6.1	257	5.4	268	4.8	4.5	5.4
Freight volume (mn tons)	3.9	1.4	1.0	4,976	-0.4	4,949	-1.6	-0.9	0.2
NBS steel production (mn tons)	8.0	-2.1	-1.8	123	-2.0	123	-2.7	-3.5	-2.2
Export volume (%oya)	9.7	7.6	17.3	105	16.2	105	3.2	4.5	12.2
Electricity consumption (secondary industry, bn KWH)	5.4	5.4	5.1	558	4.8	575	4.7	6.3	5.4
Other industrial Activities									
Commercial Vehicle sales (th units)	20.2	20.0	6.1	396.7	2.3	376.4	9.7	12.5	7.7
Cement Production, nsa (mn tons)	-6.6	-10.6	-8.4	145.7	-12.4	149.9	-14.2	-9.1	-9.4
Excavator sales volume (units)	21.2	13.9	19.5	28,745	17.4	24,794	30.0	36.2	24.7
Residential Starts, nsa (sqm mn)	-15.5	-24.8	-21.8	26.4	-23.7	30.3	-23.5	-22.9	-23.4
Apparent oil demand (mn tons)	6.2	4.4	2.8	53.3	-0.1	51.7	-5.5	-10.6	-1.5
Total power generation (bn KWH)	3.7	4.8	4.6	744.0	4.3	784.3	4.7	6.3	4.9

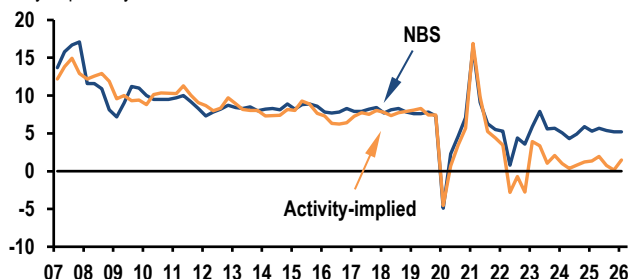
Source: Bloomberg Finance L.P., CEIC, J.P. Morgan

07 July 2026

Service sector activity tracking

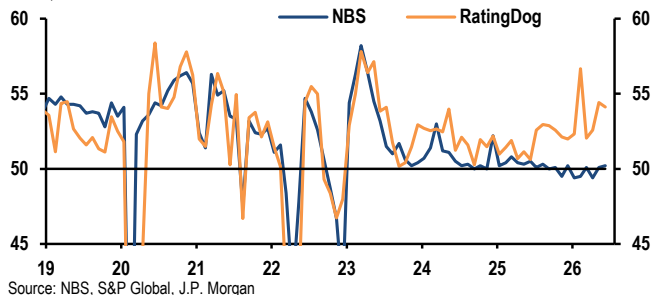
NBS vs. activity-implied GDP growth in services sector

%oya, quarterly



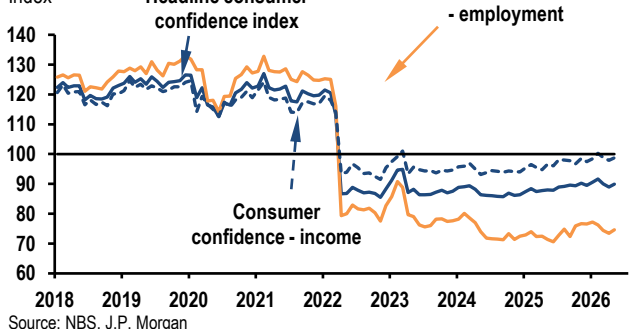
China non-manufacturing PMIs

Index, sa



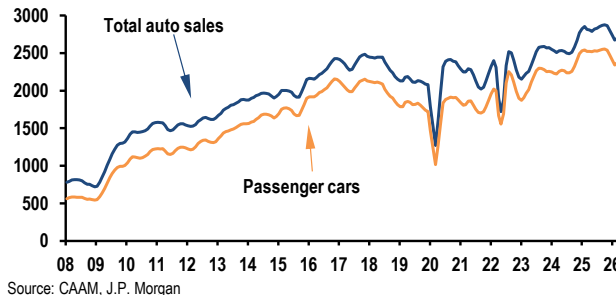
China consumer confidence index

Index



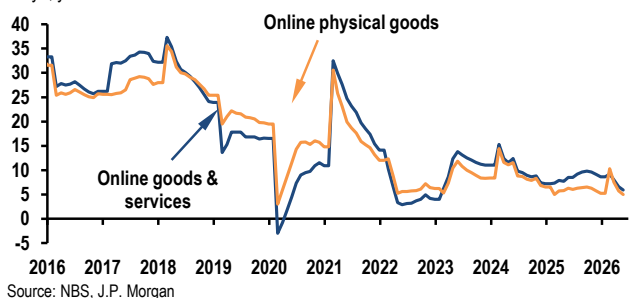
China: auto sales

'000 units, sa, 3mma



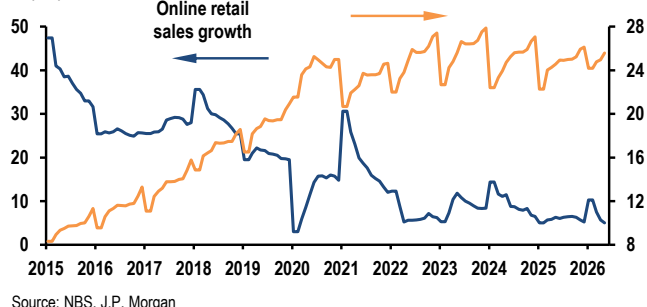
Online retail sales growth

%oya, ytd



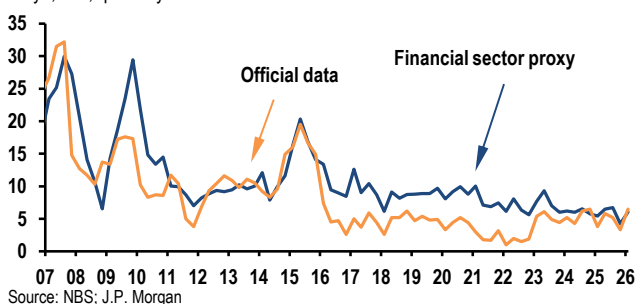
Online retail sales in China

%oya, ytd



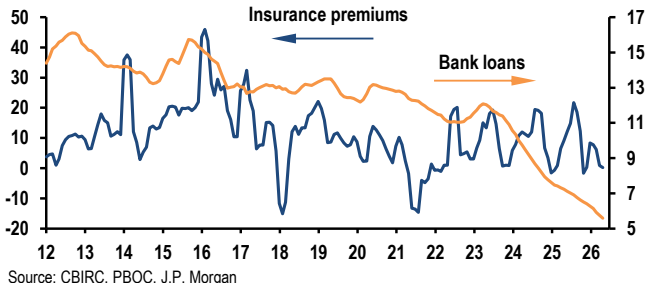
Financial sector growth

%oya, real, quarterly



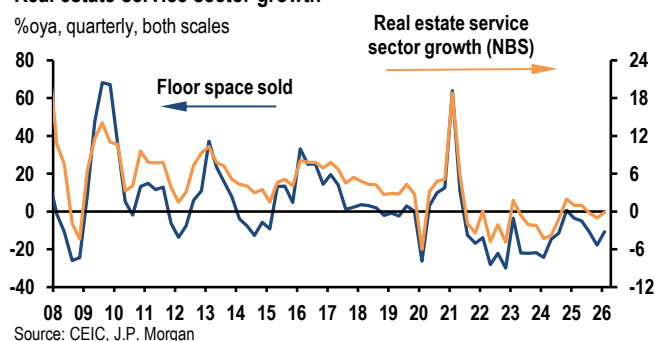
Financial services

%oya, 3mma, both scales



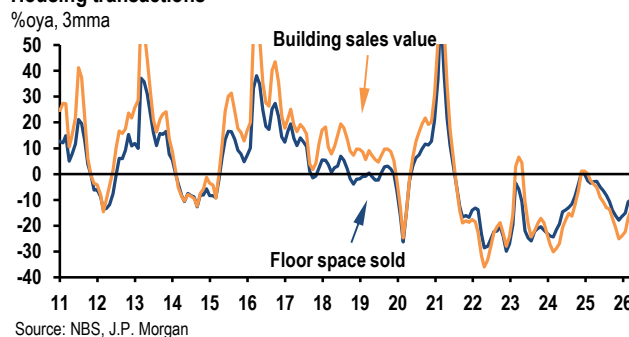
Real estate service sector growth

%oya, quarterly, both scales



Housing transactions

%oya, 3mma



Express deliveries

%oya, 3mma



Air passenger traffic

%oya, 3mma

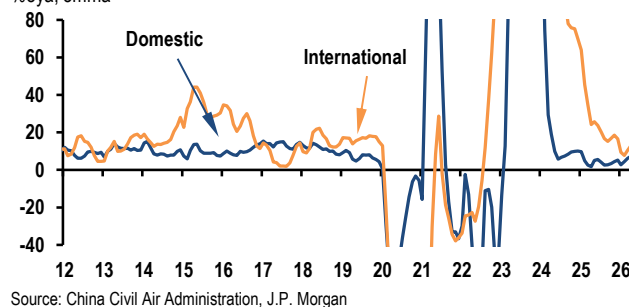


Table: Tracking indicators for the services sector

	3Q25	4Q25	1Q26	Apr-26		May-26		YTD	
	% oya , 3mma			Absolute	% oya , 3mma	Absolute	%oya, 3mma	% oya	% oya
Tracking indicators									
Retail Sales (Value, billion Yuan)	3.4	1.7	2.4	3,950	1.6	4,373	0.4	-0.6	1.4
Passenger vehicle sales (th units)	14.7	-0.4	-7.5	2,129	-6.6	2,253	-3.5	-4.2	-6.1
Consumer confidence (index)	4.0	3.7	3.3	89.0	2.6	90	2.1	2.2	2.8
Residential buildings sold (sq mn)	-10.5	-19.5	-13.4	48.5	-11.7	51.6	-10.9	-12.4	-12.5
Service PMI (all index levels)	50.1	49.9	49.7	49.4	49.7	50.1	49.9	-	50.2
Financial service sector proxy									
Bank loans (RMB bn)	6.8	6.4	5.9	-10	5.8	520	5.6	5.5	5.5
Insurance premiums (RMB bn)	18.6	0.3	6.2	422.5	0.9	457.8	0.2	-1.5	4.3
SHCOMP (index)	24.1	18.6	22.9	4,112	22.5	4,069	21.2	21.5	18.9
Other Service indicators									
Air passenger traffic (person mn)	3.9	6.3	6.5	61.2	7.8	59.1	1.6	-7.1	2.5
Freight volume (mn tons)	3.9	1.4	1.0	4975.9	-0.4	4948.7	-1.6	-0.9	0.2
Container throughput (mn TEUs)	5.2	8.1	3.5	30.7	6.4	31.3	4.3	3.1	6.3
No of delivered package (mn units)	13.4	5.0	5.8	16,839	-0.8	18,301	4.2	5.7	5.2

Source: Bloomberg Finance L.P., CEIC, J.P. Morgan

07 July 2026

Financial markets

Stock indices

Index, both scales



Source: Bloomberg Finance L.P., J.P. Morgan

Equity indices

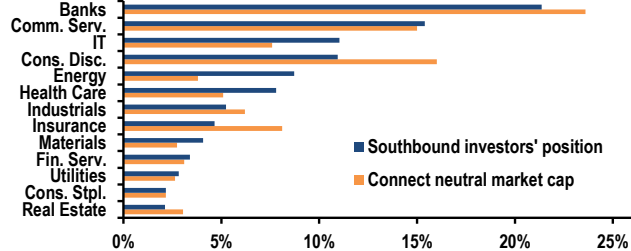
Index, Jan 2017= 100



Source: Bloomberg Finance L.P., J.P. Morgan

Southbound investor positioning

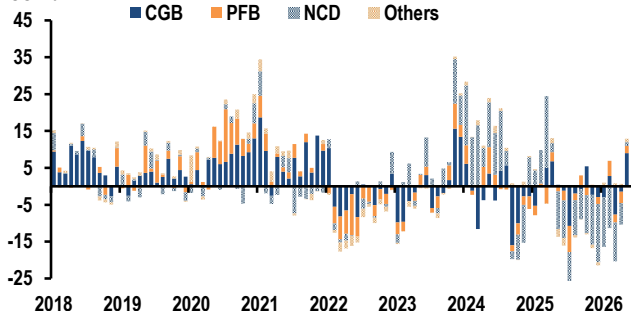
% Share



Source: HKEX, Bloomberg Finance L.P., J.P. Morgan. Neutral market cap is free float adjusted market cap for connect universe with southbound positions.

Monthly foreign inflows to Chinese bond market

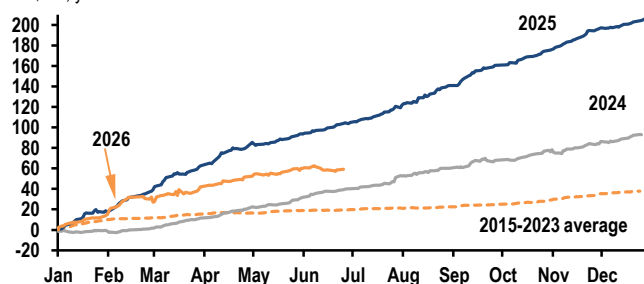
USD bn



Source: Haver, J.P. Morgan

Southbound equity flows

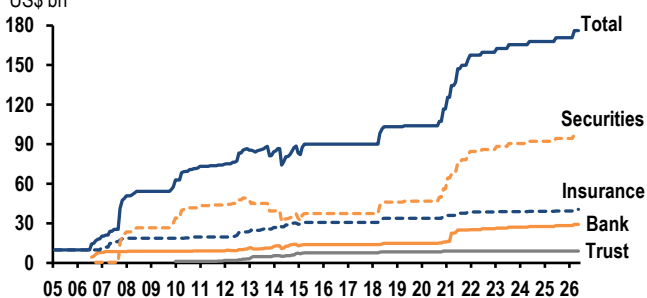
US\$ bn, ytd



Source: Wind, J.P. Morgan

Approved investment fund (QDII) in China

US\$ bn

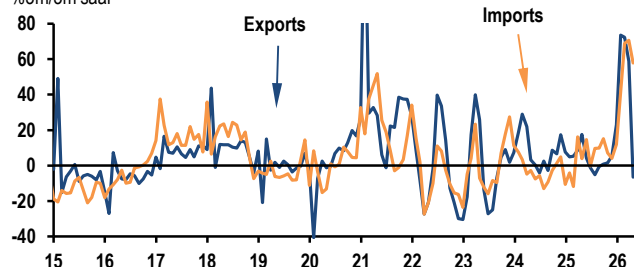


Source: SAFE, J.P. Morgan

External conditions and balance of payments

China merchandise trade growth - sequential trend

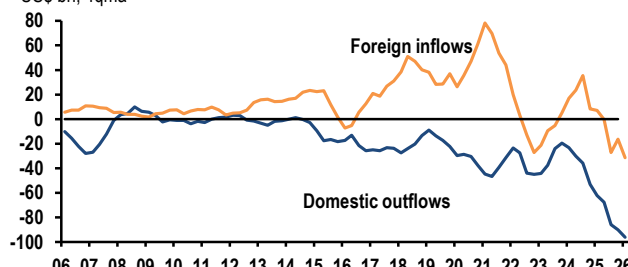
%3m/3m saar



Source: China Customs, J.P. Morgan

China portfolio flows

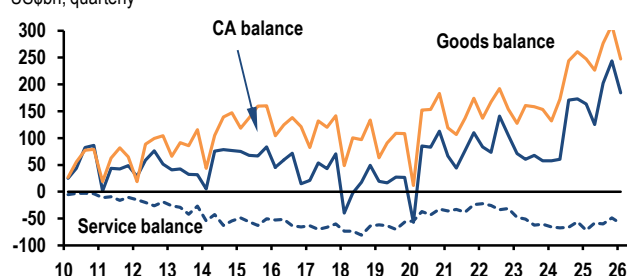
US\$ bn, 4qma



Source: SAFE, J.P. Morgan

China: Current account balance

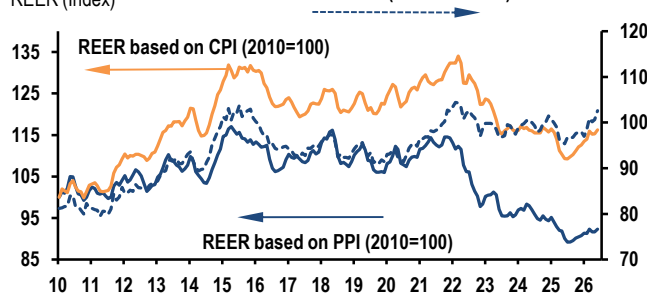
US\$bn, quarterly



Source: SAFE, J.P. Morgan

CNY REER and TWI

REER (Index)



Source: J.P. Morgan

Current account monthly

US\$ bn

	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Current account	69.0	75.0	70.0	71.7	77.8	78.6	105.4	87.5	56.8	43.4	59.3	67.9
Goods	87.4	95.2	89.5	91.7	92.7	94.4	123.2	105.2	74.4	67.8	74.1	85.9
Services	-18.5	-20.3	-19.6	-20.1	-14.9	-15.7	-17.9	-17.7	-17.6	-24.3	-14.8	-18.0
Tourism	-13.6	-16.3	-17.3	-16.7	-13.5	-12.4	-20.6	-18.7	-14.9	-13.7	-12.8	-12.8

Source: SAFE, J.P. Morgan

Balance of payments

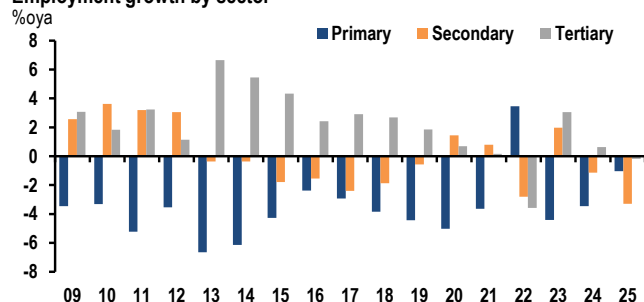
US\$ billion

	2024	2025	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
Current account	462.3	735.0	60.4	67.6	57.7	57.8	60.7	170.7	173.1	163.6	125.1	202.5	243.8	184.3
Goods	809.1	1060.6	160.8	158.3	153.3	131.8	172.7	243.7	260.9	247.1	226.7	276.5	310.3	247.5
Services	-255.0	-238.1	-50.7	-62.2	-60.6	-65.6	-67.2	-66.0	-56.1	-71.6	-58.1	-59.9	-48.5	-59.6
Primary income	-107.1	-109.5	-52.6	-30.8	-39.9	-11.9	-47.5	-11.2	-36.6	-14.8	-47.6	-22.3	-24.9	-7.4
Secondary income	15.3	22.1	2.9	2.3	4.9	3.6	2.7	4.1	4.9	2.9	4.1	8.1	6.9	3.8
Capital & financial accounts	-523.9	-820.3	-37.1	-105.6	-42.5	-34.9	-100.7	-175.6	-212.6	-192.0	-136.8	-262.3	-229.1	-140.2
Direct investment	-149.6	-77.2	-36.7	-71.5	-34.2	-26.6	-71.7	-53.2	2.0	-34.5	-12.6	-36.0	5.9	-8.8
Portfolio investment	-179.2	-425.6	-5.4	-34.5	34.1	-20.0	-5.3	-9.8	-144.1	-61.2	-56.2	-190.8	-117.4	-145.7
Other investments	-183.0	-293.2	9.0	4.3	-41.9	16.8	-17.5	-114.4	-67.9	-88.8	-58.9	-32.7	-112.8	14.1
Errors and omissions	-0.6	38.5	-9.9	-5.0	-2.7	20.6	-7.9	-22.5	9.2	-2.7	2.1	48.1	-9.0	3.8
Overall balance	-62.3	-46.8	13.4	-43.1	12.5	43.4	-47.9	-27.4	-30.4	-31.1	-9.6	-11.8	5.7	47.9

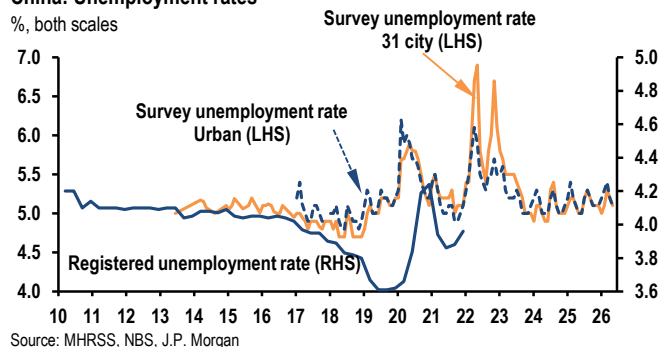
Source: SAFE, J.P. Morgan

Labor market conditions

Employment growth by sector



China: Unemployment rates



Yearly employment in China (%)

%o/a	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Employment	0.35	0.37	0.12	0.08	0.06	0.06	-0.04	-0.10	-0.25	-0.36	-0.44	-0.51	-0.55	-1.74	0.94	-0.81	-1.27
Employment: Urban	3.80	4.10	3.79	3.57	3.33	3.05	3.06	2.77	2.75	2.51	2.16	2.26	1.08	-1.80	2.40	0.67	0.40
Employment: Rural	-2.20	-2.56	-2.96	-3.05	-3.06	-2.99	-3.39	-3.42	-3.93	-4.14	-4.10	-4.65	-3.17	-1.65	-1.50	-3.39	-4.31
Employment: Primary	-3.45	-3.32	-5.22	-3.54	-6.65	-6.15	-4.26	-2.38	-2.93	-3.84	-4.42	-5.02	-3.63	3.46	-4.42	-3.46	-1.03
Employment: Secondary	2.56	3.61	3.19	3.05	-0.36	-0.37	-1.79	-1.54	-2.39	-1.87	-0.57	1.46	0.78	-2.80	1.97	-1.14	-3.29
Employment: Tertiary	3.07	1.84	3.24	1.13	6.65	5.45	4.33	2.43	2.90	2.68	1.86	0.69	0.17	-3.58	3.05	0.64	-0.19

Source: Ministry of Human Resources and Social Security, J.P. Morgan. Note: Green = acceleration, yellow = deceleration, red = contraction.

China labor market (quarterly)

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
Urban new jobs (Person mn)	3.0	3.8	3.4	2.2	3.0	4.0	3.5	2.1	3.1	3.9	3.6	2.1	3.0
Migrant Workers (Person mn, out of hometown)	182.0	187.1	187.7	176.6	185.9	190.0	190.1	178.7	188.0	191.4	191.9	180.1	188.4

Source: NBS, Ministry of Human Resources and Social Security, J.P. Morgan

China labor market (monthly)

	4/25	5/25	6/25	7/25	8/25	9/25	10/25	11/25	12/25	1/26	2/26	3/26	4/26	5/26	6/26
Survey jobless rate	5.1	5.0	5.0	5.2	5.3	5.2	5.1	5.1	5.1	5.2	5.3	5.4	5.2	5.1	-
Caixin PMI employment	49.0	48.4	48.7	49.1	49.3	49.7	50.4	49.5	49.6	50.2	50.1	50.3	49.9	49.8	50.5
NBS PMI employment	47.9	48.1	47.9	48.0	47.9	48.5	48.3	48.4	48.2	48.1	48.0	48.6	48.8	48.6	48.5

Source: NBS, S&P Global

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China economic research

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Feng Zhu (852) 2800 1745
feng.zhu@jpmorgan.com
JPMorgan Chase Bank, N.A., Hong Kong Branch
Tingting Ge (852) 2800-0143
tingting.ge@jpmorgan.com

Jiayi Li (852) 2800-5229
jiayi.c.li@jpmorgan.com
Tongfang Yuan (852) 2800-0085
tongfang.yuan@jpmorgan.com

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